

TENTATIVE RULINGS

**DEPT. CX103
(657-622-5303)**

**Judge David A. Hoffer
August 17, 2026**

These are the Court's tentative rulings. They may become orders if the parties do not appear at the hearing. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

If a party intends to submit on the Court's tentative ruling, please call the Court Clerk to inform the court. If both parties submit, the tentative ruling will then become the order of the Court.

APPEARANCES: Department CX103 conducts non-evidentiary proceedings, such as law and motion, remotely by Zoom videoconference. All counsel and self-represented parties appearing for such hearings should check-in online through the Court's civil video appearance website at <https://www.occourts.org/media-relations/civil.html> prior to the commencement of their hearing. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Check-in instructions and an instructional video are available on the court's website. All remote video participants shall comply with the Court's "Appearance Procedures and Information--Civil Unlimited and Complex" and "Guidelines for Remote Appearances" also posted online at <https://www.occourts.org/media-relations/aci.html>. A party choosing to appear in person can do so by appearing in the courtroom on the date/time of the hearing.

Court Reporters: Parties must provide their own remote court reporters (unless they have a fee waiver). Parties must comply with the Court's policy on the use of privately retained court reporters which can be found at:

- Civil Court Reporter Pooling; and
- Court Reporter Interpreter Services

THE PARTIES ARE PROHIBITED BY RULE OF COURT AND LOCAL RULE FROM PHOTOGRAPHING, FILMING, RECORDING, OR BROADCASTING THIS COURT SESSION.

#	Case Name	
1	30-2020-01162829 Schwenk vs. Bristol Farms	The tentative ruling is to continue Plaintiff John Schwenk's ("Plaintiff") Motion for Preliminary Approval of Class Action and PAGA Settlement to December 7, 2026 at 1:30 p.m. Counsel must file supplemental papers addressing the court's concerns (not fully revised papers that would have to be reread) no later than two weeks before the next hearing date. Counsel

	must submit an amendment to the settlement agreement rather than any amended settlement agreement. Counsel also must provide a red-lined version of any revised papers. Counsel also should provide the court with an explanation of how the pending issues were resolved, with references to any corrections to the settlement agreement and the class notice, rather than with a supplemental declaration or brief that simply asserts the issues have been resolved. The court is inclined to grant approval of an attorneys' fees request of only 30% of the gross settlement amount, which the court finds fair, adequate and reasonable for the settlement of this size. The parties may either reduce the attorneys' fees request by amendment to the settlement agreement and the class notice, or Plaintiff must provide documentation and support for any request higher than this percentage at the final approval stage. The motion fails to provide the estimated high and low payments to be paid to class members. The average payment must be provided for preliminary approval, but if the high and low estimated payments are not available at this time, they must be provided in the motion for final approval. Class members and PAGA members should be able to object to the settlement amount allocated to PAGA penalties. The following must be deleted from Paragraph 4.4 of the settlement: "The Parties also agree that no Bonus Wage Statement/Regular Rate PAGA Settlement Member or PAGA Settlement Member has the right to object to the PAGA Penalty Fund." The settlement agreement fails to explain how the Administrator will resolve any workweek disputes, and the class notice does not provide for any procedure for class members and PAGA members to submit disputes regarding the calculation of their qualifying workweeks. The documents should also state that, while the Administrator and the parties will attempt to resolve any such dispute, the court will ultimately decide any unresolved dispute. Paragraph 4.2 of the settlement agreement provides that objections to the settlement must be in writing, but that requirement is overly restrictive and arguably inconsistent with CRC Rule 3.769(f). The settlement agreement must be modified to reflect that either an objection may be in writing, or a class member may orally object or otherwise offer comments at the Final Approval Hearing.
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		There is no information as to how many of the class members or aggrieved employees speak and/or read English, which might require that the class notice also be in another language. Rather than having class members prepare their own opt-out requests, the class notice must include an exclusion form that class members can complete and submit. The form should be referenced in the class notice. Counsel should propose a realistic Final Approval Hearing date, bearing in mind that all papers in support of the Final Approval Hearing, including detailed hourly breakdowns of plaintiff's attorneys to support a lodestar cross-check, detailed plaintiff attorney cost breakdowns, an Administrator declaration and invoice, and plaintiff's declaration to support the enhancement request, must be filed at least 16 calendar days before the Final Approval Hearing date to provide enough time for court review, and must be served in compliance with CCP notice of motion requirements. In addition, the class members and PAGA members must be notified of the Final Approval Hearing date, which should be stated in Section 5 on page 6 of the class notice. At the top of page 1 of the class notice, the following phrase: "If you: (1) are or were employed by Bristol Farms in California as an hourly-paid non-exempt employee from October 22, 2017, to March 30, 2025 you could receive a payment from a class action and PAGA settlement," must be corrected to state: "If you are or were employed by Bristol Farms in California as an hourly-paid non-exempt employee from October 22, 2017 to March 30, 2025, you could receive a payment from a class action and PAGA settlement." Plaintiff is ordered to give notice of this ruling to the LWDA and Defendant.
2	30-2024-01401021 Rivera vs. Marway Power Systems Inc.	The tentative ruling is to continue Plaintiff Delmy Rivera's ("Plaintiff") Motion for Preliminary Approval of Class Action and PAGA Settlement to December 14, 2026 at 1:30 p.m. Counsel must file supplemental papers addressing the court's concerns (not fully revised papers that would have to be reread) no later than two weeks before the next hearing date. Counsel

	must submit an amendment to the settlement agreement rather than any amended settlement agreement. Counsel also must provide a red-lined version of any revised papers. Counsel also should provide the court with an explanation of how the pending issues were resolved, with references to any corrections to the settlement agreement and the class notice, rather than with a supplemental declaration or brief that simply asserts the issues have been resolved. The Class and PAGA Periods are defined as ending on January 29, 2026. However, the escalator clause in Paragraph 10 of the settlement agreement provides for the option to either increase the settlement amount or change the Class Period such that some of the class members might no longer be included in the settlement. This court, however, will not approve a settlement that results in class members being told they are in the settlement but later being told they are not included in the settlement. Thus, defendant will have to either rely on or take another look at its estimated number of class members or select the increased payment option. If the parties want to preserve the option calling for a reduction of the Class Period, rather than an increase in the settlement amount, they must determine if the escalator clause applies before sending out the class notice, and have the class notice include the adjusted end date and not be sent to non-participants. The court is inclined to grant approval of an attorneys' fees request of 30% of the gross settlement amount, which the court finds fair, adequate and reasonable for the settlement of this size. The parties may either reduce the attorneys' fees request by amendment to the settlement agreement and the class notice, or Plaintiff must provide documentation and support for any request higher than this percentage at the final approval stage. The motion fails to provide the estimated high and low payments to be paid to class members. The average payment must be provided for preliminary approval, but if the high and low estimated payments are not available at this time, they must be provided in the motion for final approval. The allocation of only 20% of the settlement payments for wages appears to be low. Either an increase to 33 1/3% or an explanation of why the figure is not at least 33 1/3% is required. Paragraphs 7.6 and 7.8.4 of the settlement agreement and the class notice state that the Administrator will resolve any
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		workweek disputes. The documents should reflect instead that, while the Administrator and the parties will attempt to resolve any such dispute, the court will ultimately decide any unresolved dispute. Paragraph 7.5.2. of the settlement agreement states that the administrator shall make the final determination as to the authenticity of an opt-out request. The documents should reflect instead that the court will ultimately decide any unresolved dispute regarding the authenticity of an opt-out request. The class release in Paragraph 5.2 of the settlement agreement includes a release of claims for “failure to reimburse necessary business expenses,” but that is not a claim asserted in the operative complaint. Further, there is no exposure analysis for this claim. The court will not approve a class release that releases claims outside the scope of the complaint. The court will not approve a direct release of claims by the State of California or the LWDA. Paragraph 5.3 of the settlement agreement must be amended to state: “Plaintiff, on behalf of herself, the State of California and the LWDA, and all PAGA Members are deemed to release . . .” The following corrections must be made to the class notice: (1) Rather than having class members prepare their own opt-out requests, the class notice must include an exclusion form that class members can complete and submit. The form should be referenced in the class notice. (2) The class notice must have page numbers on every page. (3) Class members and aggrieved employees may object to the amount of PAGA penalties allocated from the settlement. The third row of the table on Pages 2-3 of the class notice, should state “Participating Class Members Can Object to the Class Settlement,” and the phrase “but not the PAGA Settlement” should be deleted. (4) Section 8 of the class notice lists the wrong address and wrong department for the final approval hearing. Counsel should propose a realistic Final Approval Hearing date, bearing in mind that all papers in support of the Final Approval Hearing, including detailed hourly breakdowns of plaintiff’s attorneys to support a lodestar cross-check, detailed plaintiff attorney cost breakdowns, an Administrator declaration and invoice, and plaintiff’s declaration to support the enhancement request, must be filed at least 16 calendar days before the Final
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		Approval Hearing date to provide enough time for court review, and must be served in compliance with CCP notice of motion requirements. Plaintiff is ordered to give notice of this ruling to the LWDA and Defendant.
3	30-2024-01408266 Immings vs. Great Subs SC II, LLC	Plaintiff Stephanie Immings' ("Plaintiff") Motion for Preliminary Approval of Class Action and PAGA Settlement is GRANTED ON THE CONDITION THAT Plaintiff provide the Request for Exclusion Form that must be included with the class notice for the court's approval. A Final Approval Hearing is set for February 22, 2027 at 1:30 p.m. All papers in support of the Final Approval Hearing, including detailed hourly breakdowns of plaintiff's attorneys to support a lodestar cross-check, detailed plaintiff attorney cost breakdowns, an Administrator declaration and invoice, and plaintiffs' declarations to support the enhancement request, must be filed at least 16 calendar days before the Final Approval Hearing date, to provide enough time for court review, and must be served in compliance with CCP notice of motion requirements. Plaintiff is ordered to give notice of this ruling to the LWDA and Defendants.
4	30-2024-01447843 Sierra vs. Direct Edge Media, Inc.	The tentative ruling is to continue Plaintiff Benito Sierra's ("Plaintiff") Motion for Preliminary Approval of Class Action and PAGA Settlement to December 14, 2026 at 1:30 p.m. Counsel must file supplemental papers addressing the court's concerns (not fully revised papers that would have to be reread) no later than two weeks before the next hearing date. Counsel must submit an amendment to the settlement agreement rather than any amended settlement agreement. Counsel also must provide a red-lined version of any revised papers. Counsel also should provide the court with an explanation of how the pending issues were resolved, with references to any corrections to the settlement agreement and the class notice, rather than with a supplemental declaration or brief that simply asserts the issues have been resolved.

		The allocation of only 20% of the settlement payments for wages appears to be low. Either an increase to 33 1/3% or an explanation of why the figure is not at least 33 1/3% is required. The court is inclined to grant approval of an attorneys' fees request of 30% of the gross settlement amount, which the court finds fair, adequate and reasonable for the settlement of this size. The parties may either reduce the attorneys' fees request by amendment to the settlement agreement and the class notice, or Plaintiff must provide documentation and support for any request higher than this percentage at the final approval stage. The settlement agreement and class notice are inconsistent as to who will resolve workweek disputes. Section 4(3) of the class notice states that the Administrator will resolve any workweek disputes. The documents should reflect instead that, while the Administrator and the parties will attempt to resolve any such dispute, the court will ultimately decide any unresolved dispute. The following corrections must be made to the class notice: 1. The class notice and attached forms should be printed on a plain document, not using the law firm template formatting. 2. The class notice should have page numbers on every page, starting with 1. 3. On page 2 of the class notice, the phrase "If you worked for DEM during the Class Period and/or the PAGA Period, you have two basic options under the Settlement:" should be amended to state that there are four options. 4. In the left column of the table on row 2 of page 4 of the class settlement, it should state: "Participating Class Members Can Object to the Class Settlement," and the phrase "but not the PAGA Settlement" should be deleted. Class members and aggrieved employees may object to the amount allocated to PAGA penalties. 5. Section 1 of the class notice should disclose the UCL claim. 6. Section 3(2) of the class notice should be entitled "Deductions from Gross Settlement Subject to Court Approval," not "Court Approved Deductions from Gross Settlement." 7. Sections 3(6) and 6 of the class notice should reference the Request for Exclusion Form rather than a letter to be drafted by the class member.
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		Counsel should propose a realistic Final Approval Hearing date, bearing in mind that all papers in support of the Final Approval Hearing, including detailed hourly breakdowns of plaintiff's attorneys to support a lodestar cross-check, detailed plaintiff attorney cost breakdowns, an Administrator declaration and invoice, and plaintiff's declaration to support the enhancement request, must be filed at least 16 calendar days before the Final Approval Hearing date to provide enough time for court review, and must be served in compliance with CCP notice of motion requirements. Plaintiff is ordered to give notice of this ruling to the LWDA and Defendant.
5	30-2022-01239291 Kirkpatrick vs. A Mission for Michael, Inc.	The tentative ruling is to continue the hearing on Plaintiff Julian Kirkpatrick's ("Plaintiff") Motion for Approval of Settlement Under Private Attorneys General Act ("PAGA") to November 16, 2026 at 1:30 p.m. Counsel must file supplemental papers addressing the court's concerns (not fully revised papers that would have to be reread) no later than two weeks before the next hearing date. Counsel must submit an amendment to the settlement agreement rather than any amended settlement agreement. Counsel also must provide a red-lined version of any revised papers. Counsel also should provide the court with an explanation of how the pending issues were resolved, with references to any corrections to the settlement agreement, rather than with a supplemental declaration or brief that simply asserts the issues have been resolved. The following issues were identified in the court's previous order but were not adequately addressed by the supplemental papers: The court will not approve the following language, which must be removed from the settlement agreement: "The Aggrieved Employees and Plaintiffs Counsel understand and agree that they shall be responsible for the payment of all taxes and penalties assessed on the payments specified herein, and shall hold the Parties, Plaintiffs Counsel, and Defense Counsel free and harmless from and against any claims resulting from treatment of such payments as non-taxable, including the treatment of such payments as not subject to withholding or deduction for payroll and employment taxes." (Settlement ¶ 35.) This language must be removed via an amendment to the settlement agreement.

		There is an escalator clause in the settlement agreement (Settlement ¶ 42), but this is a motion to have the settlement fully approved, and hence a specific gross settlement amount must be approved on the granting of this motion. At this point in time the parties should know or be able to determine the number of aggrieved employees and qualifying pay periods based on the PAGA Settlement Period the parties are using. The parties must either affirmatively represent that the escalator clause has not been triggered or provide the correct gross settlement amount. The court stated that it needs information regarding the number of years of experience for James R. Harkins and Sean S. Vahdat to evaluate the reasonableness of their hourly rates. Plaintiff's counsel has pointed to their previous declarations which provide lists of cases they have worked on, but that is not the information the court requested. The following changes must be made to the cover letter and an amended cover letter must be provided to the court for the court's approval: 1. The term "Settlement Period" must be defined in the cover letter so that the aggrieved employee may understand whether he or she is part of the group. (Cover Letter at p. 1.) 2. The court will not grant approval of a settlement that releases claims not noticed to the LWDA, as plaintiffs must give the LWDA notice and opportunity to investigate or pursue litigation itself for all claims they seek to include in this action and in the settlement release. (<i>See LaCour vs. Marshalls of California, LLC</i> (2023) 94 Cal. App. 5th 1172, 1192-96.) Thus, the phrase: "By operation of the Settlement's terms, all Aggrieved Employees, including you, will release Defendants from any claims under PAGA alleged or could have been alleged against the Released Parties from February 7, 2020 to November 30, 2024" must be amended to state "By operation of the Settlement's terms, all Aggrieved Employees, including you, will release Defendants from any claims under PAGA alleged or could have been alleged against the Released Parties in Plaintiff's October 6, 2021 notice to the LWDA from February 7, 2020 to November 30, 2024" (Cover Letter at p. 2.) 3. The court will not issue an injunction against aggrieved employees. Thus, the phrase: "The Settlement will bar you and any Aggrieved Employee covered by this Agreement (including you) from proceeding with any
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		claim under the PAGA released by this Settlement.” Must be amended to state: “The Settlement may bar you and any Aggrieved Employee covered by this Agreement (including you) as a matter of law from proceeding with any claim under the PAGA released by this Settlement.” (Cover Letter at p. 2.) Plaintiff is ordered to give notice of the ruling to the LWDA and Defendants.
6	30-2021-01198053 Brown vs. CBD, Inc.	Plaintiff Arik Brown’s (“Plaintiff”) Motion for Terminating and Monetary Sanctions against Defendant CBD, Inc. (“Defendant”) is GRANTED. On August 8, 2025, the court granted Plaintiff’s motion to compel further discovery responses from Defendant, and granted monetary sanctions in the amount of \$10,000.00 in favor of Plaintiff and against Defendant and its counsel. When Defendant failed to comply with the August 8, 2025 Order, the court denied plaintiff’s motion for terminating sanctions and compelled further responses with further monetary sanctions in the amount of \$5,000.00 in favor of Plaintiff and against Defendant and its counsel. Plaintiff now brings this motion for terminating, issue and/or monetary sanctions again because Defendant has still failed to provide further responses, including paystubs and mileage data, despite agreeing to do so at a December 11, 2025 informal discovery conference. “[T]erminating sanctions are to be used sparingly, only when the trial court concludes that lesser sanctions would not bring about the compliance of the offending party.” (<i>R.S. Creative, Inc. v. Creative Cotton, Ltd.</i> (1999) 75 Cal. App. 4th 486, 496 [finding terminating sanctions appropriate when conduct “intruded into the area of actual fraud” and the “record demonstrates repeated violations of stipulations and court orders, a forged document offered as true, and deliberate destruction of evidence pertinent to exposing that fact”].) “[W]here a violation is willful, preceded by a history of abuse, and the evidence shows that less severe sanctions would not produce compliance with the discovery rules, the trial court is justified in imposing the ultimate sanction.” (<i>Mileikowsky v. Tenet Healthsystem</i> (2005) 128 Cal. App. 4th 262, 279–80.) “If a lesser sanction fails to curb misuse, a greater sanction is warranted: continuing misuses of the discovery process warrant incrementally harsher sanctions until the sanction is reached that

		will curb the abuse.” (<i>Doppes v. Bentley Motors, Inc.</i> (2009) 174 Cal. App. 4th 967, 992.) “When a party fails to respond to the opposing party's interrogatories, the court should begin by imposing monetary sanctions and ordering the party to respond.” (<i>Moofly Prods., LLC v. Favila</i> (2020) 46 Cal. App. 5th 1, 11.) “If a party then fails to obey an order compelling answers, the court may make those orders that are just, including the imposition of an issue sanction, an evidence sanction, or a terminating sanction.” (<i>Id.</i>) “In general, a court may not impose issue, evidence, or terminating sanctions unless a party disobeys a court order.” (<i>Id.</i>) “The statutory requirement that there must be a failure to obey an order compelling discovery before the court may impose a nonmonetary sanction for misuse of the discovery process provides some assurance that such a potentially severe sanction will be reserved for those circumstances where the party's discovery obligation is clear and the failure to comply with that obligation is clearly apparent.” (<i>Id.</i>) “In addition, terminating sanctions are appropriate only if a party's failure to obey a court order actually prejudiced the opposing party.” (<i>Id.</i>) Here, terminating sanctions are appropriate as defendant has violated two court orders to supply further responses and documents and its own promise to provide the responses and documents given at an IDC. The plaintiff has been forced to move for terminating sanctions two times. The first time the court denied the motion, opting for additional monetary sanctions and warning that continued violations would merit additional sanctions. Despite this clear warning, defendant failed to provide any additional responses or documents. Further, the court finds that plaintiff has been severely prejudiced by defendant’s multi-year discovery violations as the responses and documents sought go to the heart of plaintiff’s case. Finally, it is relevant that defendant did not respond to this motion or even attempt to provide a showing that any lesser sanction would elicit the responses and documents to which plaintiff is entitled. Thus, it is necessary for the court to grant the terminating sanctions. Based on this ruling, the court STRIKES defendant’s answer to the operative complaint. If plaintiff wishes to enter default, plaintiff must seek this separately. The court also GRANTS Plaintiff’s request for \$3,500.00 in monetary sanctions for the expenses incurred in bringing this Motion. IT IS ORDERED THAT within sixty (60) days of this ruling, sanctions in the amount of \$3,500.00 (in addition to the previous \$10,000.00 and \$5,000.00 in sanctions ordered by the
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		court) is payable to Plaintiff jointly and severally by Defendant and its counsel. Plaintiff is ordered to give notice of this ruling to Defendants.
7	30-2022-01268543 Garcia vs. Medina Lopez	Defendant Wilo's Express Inc. ("Wilo's") and Hugo Alexandro Median Lopez ("Lopez") (collectively, "Defendants") Motion to Dismiss the Action for Failure to Prosecute is GRANTED. This action is DISMISSED WITHOUT PREJUDICE. This action was filed on July 6, 2022. (ROA 2.) On September 5, 2024 (ROA 76), Plaintiffs filed a Notice of Settlement stating that the settlement was "Unconditional," not "Conditional." "Except as provided in (c) [conditional settlements] or (d) [compromise of claims of a minor or disabled person], each plaintiff or other party seeking affirmative relief must serve and file a request for dismissal of the entire case within 45 days after the date of settlement of the case." (Cal. R. Ct., R. 3.1385(b).) "If the plaintiff or other party required to serve and file the request for dismissal does not do so, the court must dismiss the entire case 45 days after it receives notice of settlement unless good cause is shown why the case should not be dismissed. (Id.) "If the settlement of the case involves the compromise of the claim of a minor or person with a disability, the court must not hold an order to show cause hearing under (b) before the court has held a hearing to approve the settlement, provided the parties have filed appropriate papers to seek court approval of the settlement." (Cal. R. Ct., R. 3.1385(d).) Plaintiffs never filed a request for dismissal of the entire case and never filed any motion for approval of the settlement of the minors' claims. On September 13, 2024, the court issued an Order to Show Cause re: Dismissal on Settled Case scheduled for 10/16/2024 at 09:00 AM in Department C16. (ROA 80.) On October 16, 2024, the Order to Show Cause re: Dismissal on Settled Case was continued to 01/14/2025 at 09:00 AM in Department C16 pursuant to party's motion. (ROA 83.) On January 14, 2025, there were no appearances by any party so the court dismissed the case in its entirety for Failure to Appear. (ROA 86.) The court ordered the entire action dismissed without prejudice. (Id.) On September 8, 2025, the court granted Plaintiffs' Motion to Set Aside Order Dismissing this Matter for Failure to Appear At

		Hearing Pursuant to CCP § 473(b) and Reinstate OSC re: Dismissal on Settled Case. (ROA 98.) The court vacated the dismissal and reinstated the OSC re: Dismissal on Settled Case. (Id.) Defendants now ask that the court dismiss the action again based on Plaintiffs' failure to prosecute the case pursuant to CCP § 583.410 and failure to settle the claims in this action aside from a settlement with plaintiff Osmani Fernando Garcia. "The court may in its discretion dismiss an action for delay in prosecution pursuant to this article on its own motion or on motion of the defendant if to do so appears to the court appropriate under the circumstances of the case." (CCP § 583.410.) "The court on its own motion or on motion of the defendant may dismiss an action under Code of Civil Procedure sections 583.410-583.430 for delay in prosecution if the action has not been brought to trial or conditionally settled within two years after the action was commenced against the defendant." (Cal. R. Ct., R. 3.1340(a).) "The failure of the opposing party to serve and file a written opposition may be construed by the court as an admission that the motion is meritorious, and the court may grant the motion without a hearing on the merits." (Cal. R. Ct., R. 3.1342(b).) "Conditionally settled" means: (1) A settlement agreement conditions dismissal on the satisfactory completion of specified terms that are not to be fully performed within two years after the filing of the case; and (2) Notice of the settlement is filed with the court as provided in rule 3.1385. (Cal. R. Ct., R. 3.1340(c).) In this action, Plaintiffs have not propounded any written discovery, have not taken any depositions, have not designated any experts, and have not appeared to have investigated their claims. Now it appears Plaintiffs have also not acted diligently in settling their claims with Defendant. Plaintiffs have also failed to oppose this Motion. Under these circumstances, the court finds that Plaintiffs have unreasonably delayed in prosecuting their claims. As Plaintiffs have not brought this action to trial nor conditionally settled the action within two years after the action was commenced, and as Plaintiffs did not oppose this Motion, the
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		court grants Defendants’ Motion to Dismiss, and hereby dismisses this action without prejudice. The court DENIES AS MOOT Defendants’ alternative Motion to Enforce Settlement Agreement. The court also VACATES the OSC re: Dismissal on Settled Case. Defendants are ordered to give notice of this ruling to Plaintiffs.
8	30-2023-01345433 Dance Fitness Michigan, LLC vs. AKT Franchise, LLC	Defendants Anthony Geisler (“Geisler”) and LAG Fit, Inc.’s (“LAG Fit”) (collectively, “Geisler Defendants”) Demurrer to Plaintiffs’ Fourth Amended Complaint (“4AC”) is SUSTAINED WITHOUT LEAVE TO AMEND as to the First Cause of Action, but OVERRULED as to the California Franchise Investment Law (“CFIL”) claims (Second, Third, Fifth, Sixth, Seventh, Eighth, Tenth, Thirteenth, Fourteenth and Fifteenth Causes of Action). IT IS ORDERED THAT within twenty (20) days of this ruling, Geisler Defendants must file and serve an answer to Plaintiffs’ 4AC. In the court’s March 9, 2026 Minute Order, the court held that “Defendants Anthony Geisler and LAG Fit, Inc.’s (collectively, ‘Geisler Defendants’) Demurrer to Plaintiffs’ [Third Amended Complaint] is SUSTAINED WITHOUT LEAVE TO AMEND as to the First Cause of Action for declaratory judgment[.]” (ROA 422 at p. 6.) Yet, in Plaintiffs’ 4AC, Plaintiffs pled the cause of action again against Defendants (4AC ¶¶ 187-204). Plaintiffs do not contest the court’s dismissal of that claim as to the Geisler Defendants. Accordingly, the court once again SUSTAINS WITHOUT LEAVE TO AMEND Geisler Defendants’ demurrer to the First Cause of Action. On March 9, 2026, the court also “SUSTAINED WITH LEAVE TO AMEND as to all CFIL causes of action against LAG Fit, Inc.” (<i>Id.</i>) The court stated: Geisler Defendants demur to the TAC on the grounds that Plaintiffs fail to state a claim against Defendant LAG Fit, Inc. because they fail to allege that it “controls,” or is otherwise derivatively liable for the actions and liabilities of AKT Franchise, LLC to be liable under Corporations Code section 31302 for joint and several liability. The only allegation as to LAG Fit, Inc. is: “Geisler and Grabowski indirectly control AKT Franchisor through their ownership interests and/or rights guaranteed in

		governing documents of LAG Fit, Inc. (owned solely by Anthony Geisler) . . .” (TAC ¶¶ 231(d), 260(d), 289(d), 323(d), 339(d), 351(d), 365(d), 375(d), 404(d), 424(d), 434(d).) This is insufficient to state facts showing that LAG Fit, Inc. could be liable for the CFIL claims against it under Corporations Code section 31302. The court SUSTAINS WITH LEAVE TO AMEND as to all CFIL causes of action as against Defendant LAG Fit, Inc. (ROA 422 at p. 8.) In the 4AC, Plaintiffs have added the following allegations: • Lag Fit, Inc., which holds nearly one-fifth of the voting block of Xponential Fitness, Inc., indirectly controls AKT Franchisor through its control of Xponential Intermediate Holdings, LLC, which controls Xponential Fitness LLC, which controls AKT Franchisor. By this voting control, Lag Fit, Inc. is a person who indirectly controls AKT Franchisor under CFIL § 31302. (<i>See, e.g.</i>, 4AC ¶ 231(e).) • Lag Fit, Inc. is also wholly owned by Anthony Geisler, who was, at all relevant times at issue in this complaint, the Chief Executive Officer of AKT Franchisor. Geisler has sole power over the entity and uses it as his corporate instrument. (<i>See, e.g.</i>, 4AC ¶ 231(f).) • Lag Fit, Inc. is the alter ego of Geisler because Geisler failed to maintain corporate formalities (e.g., failing to hold board meetings and keep separate minutes) and because Lag Fit, Inc. is an undercapitalized entity used merely as a shell for Geisler’s personal affairs. (<i>See, e.g.</i>, 4AC ¶ 231(g).) Geisler Defendants argue that the allegations in the 4AC still fail to allege that LAG Fit, Inc. controls or is otherwise liable for the actions and liabilities of AKT Franchisor. CFIL imposes liability on “[e]very person who directly or indirectly controls a person liable under Section 31300 or 31301, every partner in a firm so liable, every principal executive officer or director of a corporation so liable, every person occupying a similar status or performing similar functions, every employee of a person so liable who materially aids in the act or transaction constituting the violation, are also liable jointly and severally with and to the same extent as such person, unless the other person who is so liable had no knowledge of or reasonable grounds to believe in the existence of the facts by reason of which the liability is alleged to exist.” (Cal. Corp. Code § 31302.)
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		“[A]t the pleading stage, a plaintiff satisfies the control requirement by alleging facts from which an inference can be drawn that the defendant ‘had the power to control the general affairs of the entity primarily liable,’ and ‘had the requisite power to directly or indirectly control or influence the [conduct or policy] which resulted in the primary liability.’” (<i>Hellum v. Breyer</i> (2011) 194 Cal. App. 4th 1300, 1317.) “Control is a question of fact that ‘will not ordinarily be resolved summarily at the pleading stage.’” (<i>Id.</i>) The court finds that Plaintiffs have sufficiently alleged LAG Fit’s indirect control of AKT Franchisor as Plaintiffs have alleged that LAG Fit holds a nearly one-fifth voting block of an entity that indirectly controls AKT Franchisor and is the entity through which Geisler exercises his control of AKT Franchisor. While Geisler Defendants argue that the “minority” voting block does not constitute control of AKT Franchisor, that is a disputed issue of fact that should not be decided at the pleading stage. As Plaintiffs have adequately alleged CFIL liability as to LAG Fit based on its alleged indirect control of AKT Franchisor, the court OVERRULES Geisler Defendants’ demurrer to the CFIL causes of action. Geisler Defendants are ordered to give notice of this ruling.
9	30-2025-01454520 Spencer as Successor-in- Interest vs. The Bank of New York Mellon Trustee	<u>MOTION 1</u> Defendants Newrez LLC dba Shellpoint Mortgage Servicing (“Shellpoint”), The Bank of New York Mellon fka The Bank of New York, as Trustee for the Certificateholders of the CWABS Inc., Asset-Backed Certificates, Series 2006-24 (“BNYM”) (erroneously sued as “The Bank of New York Mellon Trustee c/o Newrez LLC dba Shellpoint Mortgage Servicing) and Mortgage Electronic Registration Systems, Inc.’s (collectively, “Shellpoint Defendants” or “Defendants”) Demurrer to Plaintiffs’ Second Amended Complaint (“SAC”) is SUSTAINED WITH LEAVE TO AMEND as to the First, Second, Third and Fourth Causes of Action and SUSTAINED WITHOUT LEAVE TO AMEND as to the Fifth, Sixth and Seventh Causes of Action improperly added by Plaintiffs to the SAC without leave of court. IT IS ORDERED THAT WITHIN twenty (20) days of this ruling, Plaintiffs shall file and serve Defendants an amended complaint. A. New Causes of Action Added Without Leave of Court

“Following an order sustaining a demurrer or a motion for judgment on the pleadings with leave to amend, the plaintiff may amend his or her complaint only as authorized by the court's order.” (*Harris v. Wachovia Mortg., FSB* (2010) 185 Cal. App. 4th 1018, 1023.) Here, the court only granted “leave to amend as to all causes of action by [Plaintiffs],” the court did not authorize the addition of any new causes of action. (ROA 169 at p. 2.) Yet Plaintiff added three causes of action for slander of title, violation of UCC § 9-210, and unfair business practices. The court SUSTAINS both Shellpoint Defendants and Auction.com’s demurrer to these causes of action WITHOUT LEAVE TO AMEND as they were added by Plaintiffs without leave of court. The court also SUSTAINS Defendants’ Demurrer to these causes of action based on the additional grounds stated below.

B. Grounds for Finding the Subject Adverse Claims Unenforceable, Void or Voidable

In this action, Plaintiffs allege that the following instruments are adverse claims that cloud Plaintiffs’ title to the subject property:

- (a) Deed of Trust recorded October 26, 2006, Document No. 2006000724403;
- (b) Assignment of Deed of Trust recorded August 22, 2011, Document No. 2011000411728 — void ab initio as set forth herein;
- (c) Substitution of Trustee purporting to appoint The Mortgage Law Firm, PC as substitute trustee — void ab initio as set forth herein;
- (d) All Notices of Default recorded after October 26, 2006; and
- (e) All Notices of Trustee's Sale recorded after October 26, 2006, including the Notice scheduling foreclosure for May 18, 2026.

(SAC ¶ 40.)

Plaintiffs contend that each adverse claim identified in the SAC is void or unenforceable for one or more of the following independent reasons:

- (a) The Assignment (Document No. 2011000411728) was executed nearly five years after the CWABS 2006-24 Trust closed on December 29, 2006 - confirmed by Exhibit J - making it void under New York Estates, Powers and Trusts Law section 7-2.4 and under *Glaski v. Bank of America* (2013) 218 Cal.App.4th 1079;

		(b) MERS had no authority to transfer the Note, rendering the Assignment void for want of authority in the assignor; (c) The Assignment was signed by a ReconTrust employee posing as a MERS officer, creating a direct conflict of interest as ReconTrust simultaneously served as trustee under the Deed of Trust; (d) Defendants failed to respond to two UCC section 9-210 demands, estopping them from claiming any security interest; and (e) The substitution of trustee was executed by a party with no valid interest in the Deed of Trust. (SAC ¶ 42.) Defendants demur to all of the causes of action on the grounds that Plaintiffs have not demonstrated that these adverse claims are void, voidable or otherwise unenforceable. First, Defendants argue that Plaintiffs’ SAC is premised primarily on their incorrect allegation that the 2011 Assignment of Deed of Trust (“2011 ADOT”) is void because it was executed nearly five years after the December 29, 2006 closing date for the securitized trust, as set forth in the PSA. (SAC ¶¶ 42, 43.) New York Estates, Powers & Trusts Law section 7–2.4, provides: “If the trust is expressed in an instrument creating the estate of the trustee, every sale, conveyance or other act of the trustee in contravention of the trust, except as authorized by this article and by any other provision of law, is void.” Plaintiffs rely on the opinion of one court that held that “the acceptance of the note and mortgage by the trustee after the date the trust closed, would be void.” (<i>Glaski v. Bank of Am.</i> (2013) 218 Cal. App. 4th 1079, 1097.) However, more recent cases have held that “under New York law, an untimely assignment to a securitized trust made after the trust's closing date” is merely voidable by the trust beneficiaries. (<i>Saterbak v. JPMorgan Chase Bank, N.A.</i> (2016) 245 Cal. App. 4th 808, 814 [emphasis added] [noting that <i>Glaski</i> relied on a New York case that has since been overturned].) Plaintiffs do not oppose this argument, instead arguing new grounds for why the chain of title is invalid. (<i>Herzberg v. Cnty. of Plumas</i> (2005) 133 Cal. App. 4th 1, 20 [When “Plaintiffs did not oppose the [] demurrer [to a] cause of action and have submitted no argument on the issue in their briefs on appeal,” courts have held that plaintiffs “have abandoned the issue.”].) Thus, the court finds that Plaintiff has failed to demonstrate that the purportedly untimely recording of the 2011 ADOT is a basis for finding that it
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		is void. Second, Defendants contend that Plaintiffs’ claim that the 2011 ADOT was void because MERS had no authority to transfer the Note is contrary to law. Here, the Deed of Trust states: “The beneficiary of this Security Instrument is MERS (solely as nominee for Lender and Lender’s successors and assigns) and the successors and assigns of MERS. . . . Borrower understands and agrees that MERS holds only legal title to the interest granted by Borrower in this Security Instrument, but, if necessary to comply with law or custom, MERS (as nominee for Lender and Lender’s successors and assigns) has the right: to exercise any or all of those interests, including, but not limited to, the right to foreclose and sell the Property; and to take any action required of Lender . . .” (SAC, Ex. C.) Defendants argue that Plaintiffs authorized MERS to make the challenged assignment. A claim based on MERS’ lack of authority to foreclose fails as a matter of law if the plaintiff “distinctly granted MERS the right to foreclose . . . giving MERS the right to conduct the foreclosure process under [Civil Code s]ection 2924,” and therefore “[s]ince Plaintiff granted MERS the right to foreclose in his contract, his argument that MERS cannot initiate foreclosure proceedings is meritless.” (<i>Gomes v. Countrywide Home Loans, Inc.</i> (2011) 192 Cal. App. 4th 1149, 1158.) “[T]he use of MERS does not invalidate a foreclosure sale that is otherwise substantively and procedurally proper.” (<i>Fontenot v. Wells Fargo Bank, N.A.</i> (2011) 198 Cal. App. 4th 256, 267.) “[T]he lack of a possessory interest in the note did not necessarily prevent MERS from having the authority to assign the note,” when “the assignment of deed of trust states that MERS was acting as nominee for the lender, which <i>did</i> possess an assignable interest.” (<i>Id.</i> at 270 [emphasis in original].) Plaintiffs also fail to address this issue in opposition, instead relying on allegations of fact outside the scope of the SAC. Plaintiffs argue that William C. Hultman, the Chief Financial Officer of MERS, purportedly testified under oath in <i>Bank of New York v. Ukpe</i>, New Jersey Superior Court Docket No. F-10209-08 (April 7, 2010), that MERS signing officers lacked board authority to assign mortgage note, and argues that therefore the MERS assignment of the deed of trust was executed without authority. “[C]ourts generally permit challenges to assignments if such challenges would prove that the assignments were void as opposed to voidable.” (<i>Yvanova v. New Century Mortg. Corp.</i> (2016) 62 Cal. 4th 919, 940.) “[T]he foreclosure deed is facially
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	void . . . when the entity that initiated the sale lacked authority to do so.” (<i>Id.</i> at 929 n.3.) However, Plaintiffs cite to no case law or facts alleged in the SAC that demonstrate that MERS had no authority to assign the deed of trust. The court finds that Plaintiff has failed to demonstrate that MERS lacked authority to assign the deed of trust so as to render the 2011 ADOT a void or voidable instrument. Third, Defendants contend that Plaintiffs have not adequately alleged facts showing that the 2011 ADOT was void because it was signed by T. Sevillano, purportedly an employee of ReconTrust, not MERS. Plaintiffs argue that this created a direct conflict of interest as ReconTrust simultaneously served as trustee under the Deed of Trust. (SAC ¶ 42.) Plaintiffs allege that “T. Sevillano was not a MERS employee — she was a ReconTrust Company employee granted a blanket corporate resolution by MERS to sign as a MERS officer.” (<i>Id.</i> ¶ 16.) Defendants argue that the allegations of other employment by T. Sevillano does not preclude her ability to sign on behalf of MERS, as she was given authority to sign as a MERS officer. Plaintiffs fail to oppose this argument, and have therefore abandoned it. The court finds that Plaintiff has failed to demonstrate that the fact the 2011 ADOT was signed by T. Sevillano rendered the 2011 ADOT a void or voidable instrument. Fourth, Defendants argue that Plaintiffs’ contention that Defendants are estopped from claiming any security interest in the subject property because Defendants failed to respond to two UCC section 9-210 requests for accounting is without merit. The Commercial Code provides that “[i]f a secured party fails to comply with a request regarding a list of collateral or a statement of account under Section 9210, the secured party may claim a security interest only as shown in the list or statement included in the request as against a person that is reasonably misled by the failure.” (Cal. Com. Code § 9625(g).) Plaintiffs claim that their accounting “demands identified no valid collateral,” so “Defendants are therefore estopped from claiming any enforceable security interest in the Property.” (Compl. ¶ 22.) However, UCC section 9-210 and Division 9 of the Commercial Code does not apply to “[t]he creation or transfer of an interest in or lien on real property, including a lease or rents thereunder[.]” (Cal. Com. Code § 9109(d)(11).) Plaintiffs do not provide any contrary authority.
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		The court finds that Plaintiffs have failed to show that Defendants’ purported non-compliance with UCC 9-210 estops Defendants from claiming a security interest in the subject property. Fifth, Defendants argue that since the 2011 ADOT is not void, Plaintiffs’ derivative challenge to the Substitution of Trustee based on the allegedly void 2011 ADOT is without merit. (SAC ¶ 27.) Plaintiffs do not address this argument in their opposition. The court finds that Plaintiffs have also failed to demonstrate that the Substitution of Trustee is void. In sum, all the grounds for which Plaintiffs seek to invalidate, void or cancel the 2011 ADOT and related foreclosure instruments are without merit and/or abandoned by Plaintiffs. <u>C. First Cause of Action: Quiet Title (Against All Defendants)</u> To quiet title, the complaint must (1) be verified; (2) describe the property that is subject to the action; (3) state the title of the plaintiff as to which a determination is sought; (4) state the adverse claims against which a determination is sought; (5) state the date as of which the determination is sought; and (6) contain a prayer for the determination of the title of the plaintiff against the adverse claims. (CCP § 761.020.) As discussed above, the court finds that Plaintiffs have not established any grounds for which the court can make determinations against the adverse claims. On the grounds of failure to state a claim, the court SUSTAINS WITH LEAVE TO AMEND the demurrer as to the First Cause of Action. Defendants also contend that the quiet title claim fails because Plaintiffs did not and cannot allege that they paid off the indebtedness with any valid tender of lawful money. “[A] mortgagor cannot quiet his title against the mortgagee without paying the debt secured.” (<i>Shimpone v. Stickney</i> (1934) 219 Cal. 637, 649.) Plaintiffs argue that the debt was extinguished by a setoff, but that is not pled in the SAC. For this additional reason, the court SUSTAINS WITH LEAVE TO AMEND the demurrer as to the First Cause of Action. <u>D. Second Cause of Action: Cancellation of Void Instruments (Against All Defendants)</u>
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		“A written instrument, in respect to which there is a reasonable apprehension that if left outstanding it may cause serious injury to a person against whom it is void or voidable, may, upon his application, be so adjudged, and ordered to be delivered up or canceled.” (Cal. Civ. Code § 3412.) “To prevail on a claim to cancel an instrument, a plaintiff must prove (1) the instrument is void or voidable...and (2) there is a reasonable apprehension of serious injury including pecuniary loss or the prejudicial alteration of one’s position.” (<i>U.S. Bank Nat’l Assn. v. Naifeh</i> (2016) 1 Cal. App. 5th 767, 778.) “To state a cause of action under section 3412, [a plaintiff] must allege the assignment was void or voidable <i>against her</i>.” (<i>Saterbak v. JPMorgan Chase Bank, N.A.</i> (2016) 245 Cal. App. 4th 808, 818.) Further, “even if the assignment were invalid,” it would not be canceled if a plaintiff has defaulted on the loan and payments are in arrears, as the void or voidable assignment did not “<i>cause serious injury</i>.” (<i>Id.</i> ¶ 819.) “[B]ecause a cause of action to cancel a written instrument under section 3412 sounds in equity, a debtor must generally allege tender or offer of tender of the amounts borrowed as a prerequisite to such claims.” (<i>Id.</i>) As discussed above, Plaintiffs have not established any grounds for cancellation of the various challenged instruments. Plaintiffs fail to allege any facts or assert any authority to show that the subject instruments are void or voidable, instead raising new theories and new facts outside of the SAC. Thus, the court SUSTAINS WITH LEAVE TO AMEND the demurrer as to the Second Cause of Action. <u>E. Third Cause of Action: Declaratory Relief (Against All Defendants)</u> Plaintiffs request a judicial declaration that: (a) The Assignment of Deed of Trust (Document No. 2011000411728) is void ab initio; (b) Defendants have no right, title, purporting to appoint TMLF is void; (d) Any foreclosure sale of the Property based on the void Assignment is void; and (e) Plaintiffs are the lawful fee-simple owners of the Property, free and clear of all Defendants' claims. (Compl. ¶ 58.) Pursuant to CCP section 1060, “[a]ny person interested ... under a contract ... may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action ... in the superior court for a declaration of his or her
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	rights and duties ... including a determination of any question of construction or validity arising under the ... contract.” To qualify for declaratory relief under this provision, two elements exist: “(1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the rights or obligations of a party.” (<i>Lee v. Silveira</i> (2016) 6 Cal.App.5th 527, 546.) “The ‘actual controversy’ language in ... section 1060 encompasses a probable future controversy relating to the legal rights and duties of the parties.” (<i>Id.</i>) “It does not embrace controversies that are ‘conjunctural, anticipated to occur in the future, or an attempt to obtain an advisory opinion from the court.” (<i>Id.</i>) “To determine whether an issue is ripe for review, we evaluate two questions: the fitness of the issue for judicial decision and the hardship that may result from withholding court consideration.” (<i>Id.</i> at 547.) “[T]he declaratory procedure operates prospectively, and not merely for the redress of past wrongs.” (<i>Travers v. Loudon</i> (1967) 254 Cal. App. 2d 926, 931.) “It serves to set controversies at rest before they lead to repudiation of obligations, invasion of rights or commission of wrongs; in short, the remedy is to be used in the interests of preventive justice, to declare rights rather than execute them.” (<i>Id.</i>) Defendants argue that Plaintiffs are not entitled to declaratory relief because the theories as to why the instruments are void, why the foreclosure was void, and why Plaintiffs are the owners of the property are inadequately pled and fail as a matter of law. As with the Second Cause of Action, Plaintiffs fail to allege any facts or assert any authority to show that the subject instruments are void or voidable, instead raising new theories and new facts outside of the SAC. The court SUSTAINS WITH LEAVE TO AMEND the demurrer as to the Third Cause of Action. <u>F. Fourth Cause of Action: Wrongful Foreclosure (Against All Defendants)</u> The elements of a wrongful foreclosure cause of action are “(1) the trustee or mortgagee caused an illegal, fraudulent, or willfully oppressive sale of real property pursuant to a power of sale in a mortgage or deed of trust; (2) the party attacking the sale (usually but not always the trustor or mortgagor) was prejudiced or harmed; and (3) in cases where the trustor or mortgagor challenges the sale, the trustor or mortgagor tendered the amount of the secured indebtedness or was excused from
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	tendering.” (<i>Lona v. Citibank, N.A.</i> (2011) 202 Cal.App.4th 89, 112.) “[A] wrongful foreclosure plaintiff has standing to claim the foreclosing entity's purported authority to order a trustee's sale was based on a void assignment of the note and deed of trust.” (<i>Yvanova v. New Century Mortg. Corp.</i> (2016) 62 Cal. 4th 919, 939.) “[A] borrower lacks standing to challenge an assignment of the note and deed of trust to which the borrower was neither a party nor a third party beneficiary,” in situations when the “claimed defects [] would make the assignment merely voidable, but not as to alleged defects rendering the assignment absolutely void.” (<i>Id.</i>) “Where an assignment is merely voidable at the election of the assignor, third parties, and particularly the obligor, cannot ... successfully challenge the validity or effectiveness of the transfer.” (<i>Glaski v. Bank of Am.</i> (2013) 218 Cal. App. 4th 1079, 1094–95.) Defendants argue that Plaintiffs’ wrongful foreclosure claim fails as they do not allege any facts establishing that the non-judicial foreclosure proceedings or May 2026 foreclosure sale was illegal, fraudulent or willfully oppressive. Further, Plaintiffs have not demonstrated that they have standing to bring the claim based on any void, rather than voidable, instrument. Defendants also contend that the claim fails because Plaintiffs do not plead valid tender or facts excusing tender. “As a general rule, a debtor cannot set aside the foreclosure based on irregularities in the sale without also alleging tender of the amount of the secured debt.” (<i>Ram v. OneWest Bank, FSB</i> (2015) 234 Cal. App. 4th 1, 18.) Plaintiffs fail to allege any facts or assert any authority to show that the subject instruments are void or voidable to establish their standing, or allegations that the transactions were otherwise illegal, fraudulent, or willfully oppressive. The court SUSTAINS WITH LEAVE TO AMEND the demurrer as to the Fourth Cause of Action. <u>G. Fifth Cause of Action: Slander of Title (Against All Defendants)</u> “To state a claim for slander of title, a plaintiff must allege ‘(1) a publication, (2) which is without privilege or justification,’ (3) which is false, and (4) which ‘causes direct and immediate pecuniary loss.’” (<i>Schep v. Cap. One, N.A.</i> (2017) 12 Cal. App.
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	5th 1331, 1336.) However, the claim cannot be based upon privileged communications pursuant to CCP § 47. (<i>Id.</i>) “The mailing, publication, and delivery of notices” required by the nonjudicial foreclosure statutes are privileged under CCP § 47. (Cal. Civ. Code § 2924(d).) Courts are unsettled as to whether this confers absolute privilege, or a qualified privilege based on communications made without malice. “For the purposes of section 47 ’s qualified privilege, ‘malice’ means that the defendant (1) ‘was motivated by hatred or ill will towards the plaintiff,’ or (2) ‘lacked reasonable grounds for [its] belief in the truth of the publication and therefore acted in reckless disregard of the plaintiff’s rights.’” (<i>Schep</i>, 12 Cal. App. 5th at 1337.) Defendants argue that Plaintiffs’ claim is based on privileged documents, i.e. the recording of the challenged foreclosure documents, and that Plaintiffs fail to overcome the qualified privilege by alleging malice. Defendants also argue that the claim is inadequately pled because Plaintiffs do not plead which specific recording was false, why it was false, and how that recording caused a direct pecuniary loss. Defendants argue that Plaintiffs fail to allege direct pecuniary loss, and instead allege generalized categories of harm, including attorneys’ fees and costs, damage to credit, impairment of their ability to sell or refinance the Property, and emotional distress. Plaintiffs do not address any of these issues, thereby abandoning this claim. On the additional ground of failure to state a claim, the court SUSTAINS WITHOUT LEAVE TO AMEND the demurrer as to the Fifth Cause of Action. <u>H. Sixth Cause of Action: Violation of UCC § 9-210 (Against Defendants NewRez LLC and BNYM)</u> As discussed in more detail above, Defendants argue that the accounting demand requirements under UCC § 9-210 do not apply to deeds of trust like the 2011 ADOT, and therefore, this claim fails as a matter of law. On the additional ground of failure to state a claim, the court SUSTAINS WITHOUT LEAVE TO AMEND the demurrer as to the Sixth Cause of Action. <u>I. Seventh Cause of Action: Unfair Business Practices</u> Plaintiffs allege that “Defendants have engaged in unlawful, fraudulent, and unfair business practices, including: (a) Pursuing foreclosure based on a void assignment that transferred no interest to BNYM; (b) Recording false and void instruments in
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	the Official Records of Orange County, clouding Plaintiffs' title; (c) Failing to respond to two UCC section 9-210 demands while continuing to pursue collection and foreclosure; (d) Asserting ownership and enforcement rights through a void assignment; (e) Refusing to produce the original promissory note for inspection while claiming the right to foreclose; (f) Failing to respond to any discovery while simultaneously pursuing the seizure of Plaintiffs' home; (g) Pyramiding fees, costs, and capitalized interest from \$16,083 in 2019 delinquency to \$793,261.22 in claimed payoff by 2026 — an increase of \$777,178.22 — without adequate disclosure or authorization; and (h) Collecting insurance proceeds or third-party payments against the alleged default while simultaneously pursuing the full balance against Plaintiffs.” (SAC ¶ 75.) Defendants argue that Plaintiffs’ UCL claim fails because they cannot establish standing. Standing under the UCL is established only where the plaintiff “has suffered injury in fact and has lost money or property” as a result of the alleged unfair practices. (Bus. & Prof. Code § 17204.) Standing under Business and Professions Code section 17204 requires a plaintiff “to plead a causal link between her economic injury, the impending nonjudicial foreclosure of her home, and the [] unfair or unlawful acts allegedly committed by Defendants.” (<i>Jenkins v. JPMorgan Chase Bank, N.A.</i> (2013) 216 Cal. App. 4th 497, 522.) A plaintiff cannot show causation if she “admits in both her SAC and opening brief that she defaulted on her loan,” and it is “indisputable [her] default triggered the lawful enforcement of the power of sale clause in the deed of trust, and it was the triggering of the power of sale clause that subjected [her] home to nonjudicial foreclosure.” (<i>Id.</i>) Defendants argue that Plaintiffs also cannot satisfy the causation requirement of the UCL because Plaintiffs’ own default caused any possible damages, not any conduct by Defendants. Defendants also argue that Plaintiffs fail to allege any wrongful conduct under the UCL. For the theories involving the void or voidable instruments, Defendants have argued that those theories are without merit. As to Defendants’ alleged refusal to produce the original promissory note, Defendants argue they are not required to produce it as a condition to nonjudicial foreclosure. “[T]he foreclosing beneficiary-creditor need not produce the promissory note or otherwise prove it holds the note to nonjudicially foreclosure on a real property security.” (<i>Jenkins v. JPMorgan Chase Bank, N.A.</i> (2013) 216 Cal. App. 4th 497, 512.)
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		As to Defendants’ alleged failure to respond to discovery while pursuing foreclosure, Defendants argue that discovery disputes are governed by the Civil Discovery Act with its own remedies for discovery misuse and does not state a claim under the UCL. As to the alleged pyramiding of fees, costs, and capitalized interest, and collection of insurance proceeds or third-party payments, Defendants argue that Plaintiffs have not demonstrated that this conduct was unlawful, unfair or fraudulent. Defendants contend that Plaintiffs have not pled facts showing that the amounts were improperly assessed, unauthorized under the Deed of Trust, or caused by anything other than Plaintiffs’ missed loan payments and the resulting accrual of interest, fees, and costs over time. Plaintiffs fail to address the UCL claim at all in opposition, thereby abandoning that claim. On this additional ground of failure to state a claim, the court SUSTAINS WITHOUT LEAVE TO AMEND the demurrer as to the Seventh Cause of Action. J. New Arguments Raised by Plaintiffs In opposition, Plaintiffs argue that the transactions are void because The CWABS 2006-24 Trust is not a covered person under the Dodd-Frank Wall Street Reform and Consumer Protection Act, and therefore cannot hold legal title to the debt or enforce the debt. This argument relies on facts outside of the SAC and therefore cannot be a basis to overrule the demurrer. (<i>C & H Foods Co. v. Hartford Ins. Co.</i> (1984) 163 Cal. App. 3d 1055, 1062 [“Doubt in the complaint may be resolved against plaintiff and facts not alleged are presumed not to exist.”].) Second, Plaintiffs argue that the securitization chain is void because the recorded assignments transferred only the security instrument and not the underlying note, and also argue that the underlying note was destroyed in the securitization warehousing process. Plaintiffs contend that the transfer of the mortgage without the note transfers nothing, citing to a 1872 case that held: “The note and mortgage are inseparable; the former as essential, the latter as an incident. An assignment of the note carries the mortgage with it, while an assignment of the latter alone is a nullity.” (<i>Carpenter v. Longan</i> (1872) 83 U.S. 271, 274.) Here, there is no assignment of a mortgage, but rather a deed of trust. Further, this is a new argument not included in the SAC.
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	Third, Plaintiffs argue that under the UCC § 9-210, Defendants are estopped from collecting against a property when it fails to respond to a request for an authenticated accounting. As discussed above, the UCC does not apply to the instruments at issue and thus this claim fails. Fourth, Plaintiffs argue that The CWABS 2006-24 Trust was created through securities fraud. However, Plaintiffs cite to no case law and no allegations in the SAC that support this argument. Fifth, Plaintiffs argue that The Barredas executed a lawful setoff against the alleged debt. Plaintiffs rely on facts entirely outside of the SAC. In sum, none of the arguments raised by Plaintiffs in their opposition are sufficient to cure the defects in Plaintiffs' claims. Moving defendants are ordered to give notice of this ruling. <u>MOTION 2</u> Defendant Auction.com LLC's ("Auction.com") Demurrer to Plaintiffs' SAC is SUSTAINED WITH LEAVE TO AMEND as to the First, Second, Third and Fourth causes of action asserted by Plaintiffs against Auction.com, and SUSTAINED WITHOUT LEAVE TO AMEND as to the Fifth, Sixth and Seventh Causes of Action improperly added by Plaintiffs to the SAC without leave of court. IT IS ORDERED THAT WITHIN twenty (20) days of this ruling, Plaintiffs shall file and serve Defendants an amended complaint. <u>Requests for Judicial Notice</u> The court GRANTS Auction.com's requests for judicial notice of recorded instruments relating to the subject property, as well as filings and orders in George Barreda's bankruptcy proceeding filed in the United States Bankruptcy Court for the Central District of California, Case No. 8:25-bk-11411, on June 24, 2025. The court GRANTS Plaintiffs' requests for judicial notice of case law (Items 1-9), statutes and regulations (Items 10-11, 17-18), and commentary on regulations (Item 12) that Plaintiffs cite in their opposition. (Cal. Evid. Code § 452(a), (b), and (d).) The court DENIES Plaintiffs' requests for judicial notice of documents purportedly concerning Countrywide and its successor
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		Bank of America mortgage servicing practices (Items 13-15), as they are irrelevant to these demurrers and are not the proper subject of judicial notice. The court DENIES Plaintiffs’ request for judicial notice of the deposition testimony of William C. Hultman, the CEO of MERS in an unrelated action, as it is improperly offered for the truth of the matters stated. The court GRANTS Auction.com’s request for judicial notice of a federal court order sanctioning Plaintiffs’ counsel Peter Winkler, in <i>Mharla Simmons v. Selene Finance, LP</i>, N.D. Cal. Case No. 3:26-cv-00198-TLT. (Cal. Evid. Code § 452(d).) <u>Auction.com’s Demurrer to Plaintiffs’ SAC</u> As a threshold matter, Plaintiffs argue that Auction.com’s demurrer should be overruled as untimely. CCP § 430.40(a) states that a demurrer may be filed “within 30 days after service of the complaint.” Auction.com explains that the demurrer is timely as the Plaintiffs electronically filed and served the SAC on April 23, 2026, thirty days from which was Saturday, May 23, 2026. The next week day was Memorial Day, so Tuesday, May 26, 2026 was the initial deadline. However, the deadline was extended another two court days because the SAC was electronically served, which set the deadline as May 28, 2026. (CCP § 1010.6(a)(2)(B).) Auction.com’s Demurrer was filed on May 27, 2026, so it is timely. As another threshold matter, Auction.com argues that Plaintiffs’ counsel should be sanctioned for using artificial intelligence to draft the opposition because it contains a citation to a non-existent case. Specifically, Plaintiffs cite to <i>Carlson v. State of California</i>, 68 Cal. App. 4th 1268 (1998), to argue that courts can disregard untimely demurrers, but there is no such case. Auction.com argues that Plaintiffs’ counsel, Peter Winkler, has previously been sanctioned in federal court for similar misconduct. (ROA 278, Ex. 1.) “[R]elying on fabricated legal authority is sanctionable.” (<i>Noland v. Land of the Free, L.P.</i> (2025) 114 Cal. App. 5th 426, 445.) “[B]efore filing any court document, an attorney must ‘carefully check every case citation, fact, and argument to make sure that they are correct and proper.’” (<i>Id.</i> at 446.) “Attorneys cannot delegate that role to AI, computers, robots, or any other form of technology.” (<i>Id.</i>) “Just as a competent attorney would very carefully check the veracity and accuracy of all case citations in any pleading, motion, response, reply, or other paper prepared by
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	a law clerk, intern, or other attorney before it is filed, the same holds true when attorneys utilize AI or any other form of technology.” (<i>Id.</i>) The court sets an Order to Show Cause on November 17, 2026 at 9:00 a.m. as to why the court should not order monetary sanctions against Plaintiffs’ counsel for falsely citing a non-existent case. Plaintiffs’ counsel shall file any responsive briefing at least 10 days before the hearing date for the OSC. A. Judicial Estoppel & Res Judicata On May 27, 2025, George Barreda filed for Chapter 7 bankruptcy protection in the Central District of California. (Auction.com’s RJN, Ex. 13.) George Barreda did not disclose any claim against Auction.com or related to the Loan in his schedules. (<i>Id.</i>, Ex. 14.) On November 17, 2025, George Barreda received a bankruptcy discharge. (<i>Id.</i>, Ex. 15.) While the bankruptcy was pending, George Barreda filed an adversary complaint, naming BNYM, NewRez, MERS, and Auction.com as defendants. (<i>Id.</i>, Ex. 16.) The adversary complaint challenged the defendants’ ability to foreclose on the Property. (<i>Id.</i>) BNYM and NewRez moved to dismiss; MERS filed a joinder. (<i>Id.</i>, Exs. 17 and 18.) On November 13, 2025, the court dismissed the adversary complaint with prejudice as to all defendants. (<i>Id.</i>, Ex. 19.) First, Auction.com argues that Plaintiffs are judicially estopped from asserting any claim against Auction.com that arose before George Barreda’s November 17, 2025 bankruptcy discharge. “Once an individual declares bankruptcy, any legal or equitable interests he or she had in a particular property belongs to the bankruptcy estate, as represented by the bankruptcy trustee.” (<i>Vertkin v. Wells Fargo Home Mortg.</i>, (N.D. Cal. Sept. 9, 2010) No. C 10-00775 RS, 2010 WL 3619798, at *2.) “In the bankruptcy context, a party is judicially estopped from asserting a cause of action not raised in a reorganization plan or otherwise mentioned in the debtor’s schedules or disclosure statements.” (<i>Hamilton v. State Farm Fire & Cas. Co.</i> (9th Cir. 2001) 270 F.3d 778, 783.) A party is therefore “precluded from pursuing claims about which he had knowledge, but did not disclose, during his bankruptcy proceedings,” and “a discharge of debt by a bankruptcy court, under these circumstances, is sufficient acceptance to provide a basis for judicial estoppel.” (<i>Id.</i> at 784.) Plaintiffs fail to address this argument in its opposition. The court SUSTAINS WITH LEAVE TO AMEND Auction.com’s
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	demurrer as to all causes of action against it on the grounds of judicial estoppel. Second, Auction.com argues that Plaintiffs’ claims are barred by res judicata. “The prerequisite elements for applying the doctrine [of res judicata] to either an entire cause of action or one or more issues are the same: (1) A claim or issue raised in the present action is identical to a claim or issue litigated in a prior proceeding; (2) the prior proceeding resulted in a final judgment on the merits; and (3) the party against whom the doctrine is being asserted was a party or in privity with a party to the prior proceeding.” (<i>Boeken v. Philip Morris USA, Inc.</i> (2010) 48 Cal. 4th 788, 797.) Auction.com contends that Plaintiffs’ claims are barred because there is a final judgment on the merits of Plaintiffs’ claims since the Adversary Complaint (which involved both George Barreda and Auction.com) containing the same claims at issue in this action, which ended in an order in all defendants’ (including Auction.com) favor and against George Barreda. (Auction.com’s RJN, Ex. 19.) Plaintiffs fail to address this argument in its opposition. The court SUSTAINS WITH LEAVE TO AMEND Auction.com’s demurrer as to all causes of action against it on the additional grounds of judicial estoppel. B. Statute of Limitations Third, Auction.com argues that Plaintiffs’ securitization challenge is time-barred. The Corporation Assignment of Deed of Trust was publicly recorded on August 22, 2011. (Auction.com’s RJN, Ex. 2.) Plaintiffs brought this action more than four years after that on January 21, 2025. (ROA 2.) Auction.com argues that to the extent the claims pertain to the assignment of the Loan, they are time-barred. (CCP § 337 [providing for four-year statute of limitations for any action “upon any contract, obligation or liability founded upon an instrument in writing” such as breach of contract]; CCP § 338 [providing for three-year statute of limitations for causes of action arising from fraud]; CCP § 343(a) [four-year “catch all” statute of limitations].) Auction.com argues that even if the claims are “tolled” due to George Barreda’s bankruptcy cases by 2,180 days, Plaintiffs’ deadline to file an action challenging the Assignment of Deed of Trust expired July 30, 2021 (four years plus 2,180 days). Plaintiffs fail to address this argument in its opposition and does not dispute the applicability of these statutes of limitation to their
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		claims. The court SUSTAINS WITH LEAVE TO AMEND Auction.com’s demurrer as to all causes of action against it on the additional grounds that the claims are barred by applicable statutes of limitation. C. Failure to State a Claim Fourth, like the other Defendants, Auction.com argues that Plaintiffs’ attempts to challenge the foreclosure, pre-foreclosure sale, are improper due to failure to demonstrate any void or voidable instruments, failure to establish standing, the inapplicability of the UCC to the subject instruments, and failure to allege tender of payment for Plaintiffs’ debts to support Plaintiffs’ claims. Fifth, Auction.com argues that Plaintiffs fail to state any facts suggesting any wrongdoing by Auction.com specifically. Auction.com notes that the only allegations against it in the SAC are that (1) it has scheduled a foreclosure sale of the Property on behalf of Defendants and is a “for-profit enterprise that earns fees from completed foreclosure auctions and has a direct financial interest in the outcome of this action.” (SAC ¶ 11); and (2) it “has scheduled a foreclosure sale for May 18, 2026” (SAC ¶ 26). Specifically, for the First Cause of Action to quiet title, Auction.com argues that Plaintiffs have not shown that Auction.com has any interest in title in the property to warrant a quiet title action. As to the Second Cause of Action for cancellation of instruments and Fifth Cause of Action for slander of title, Auction.com argues there is no allegation that it recorded any documents that would be the subject of cancellation or slander. As to the Third Cause of Action for declaratory relief, Auction.com argues there is no controversy as to Auction.com because Plaintiffs have not alleged Auction.com has any interest in title to the property, recorded any of the subject instruments, or that it has done anything other than schedule a foreclosure sale. As to the Seventh Cause of Action for violation of the UCL, Auction.com argues that Plaintiff has not alleged any specific statute violated by Auction.com to satisfy the unlawful prong, have not alleged any facts as to any unfair business practice, or any facts to state a claim of fraud committed by Auction.com. Auction.com also contends that Plaintiffs have failed to allege any lost property as a result of Auction.com’s conduct to support the UCL claim.
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	The court SUSTAINS WITH LEAVE TO AMEND Auction.com’s demurrer as to all causes of action against it on the additional ground that Plaintiffs fail to state these claims as against Auction.com. D. New Arguments Raised by Plaintiffs In opposition, Plaintiffs argue that the foreclosure is void because The CWABS 2006-24 Trust is not a covered person under 12 Code of Federal Regulations section 1026.39, which sets forth the rules governing mortgage transfer disclosures, and concludes that “[a] party without legal title to the debt cannot enforce it.” Plaintiffs fail to explain how this statute demonstrates that Defendants could not enforce the debt against Plaintiffs or how this renders the instruments void or voidable. Further, this is not a theory asserted in the SAC. (<i>C & H Foods Co. v. Hartford Ins. Co.</i> (1984) 163 Cal. App. 3d 1055, 1062 [“Doubt in the complaint may be resolved against plaintiff and facts not alleged are presumed not to exist.”].) Second, Plaintiffs argue that the securitization chain is void because the original promissory note was destroyed. Plaintiffs cite to a 1872 case that held: “The note and mortgage are inseparable; the former as essential, the latter as an incident. An assignment of the note carries the mortgage with it, while an assignment of the latter alone is a nullity.” (<i>Carpenter v. Longan</i> (1872) 83 U.S. 271, 274.) Here, there is no assignment of a mortgage, but rather a deed of trust, and the applicability of this action to the facts alleged in this case is unclear. Further, this is a new theory not included in the SAC. Third, Plaintiffs argue that William C. Hultman, the Chief Financial Officer of MERS, purportedly testified under oath in <i>Bank of New York v. Ukepe</i>, New Jersey Superior Court Docket No. F-10209-08 (April 7, 2010), that MERS signing officers lacked board authority to assign mortgage notes, and argues that therefore the MERS assignment of the deed of trust was executed without authority. “[C]ourts generally permit challenges to assignments if such challenges would prove that the assignments were void as opposed to voidable.” (<i>Yvanova v. New Century Mortg. Corp.</i> (2016) 62 Cal. 4th 919, 940.) “[T]he foreclosure deed is facially void . . . when the entity that initiated the sale lacked authority to do so.” (<i>Id.</i> at 929 n.3.) However, Plaintiffs cite to no case law or facts alleged in the SAC that demonstrate that MERS had no authority to assign a deed of trust or that doing so rendered the assignment void.
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		Fourth, Plaintiffs argue that under the UCC § 9-210, Defendants are estopped from collecting against a property when it fails to respond to a request for an authenticated accounting. As discussed above, the UCC does not apply to the instruments at issue and thus this claim fails. Fifth, Plaintiffs argue that The CWABS 2006-24 Trust was created through securities fraud. Plaintiffs rely on allegations of fact outside of the SAC and provides not authority demonstrating how these new allegations support Plaintiffs’ existing claims. Sixth, Plaintiffs argue that The Barredas executed a lawful setoff against the alleged debt. However, there are no allegations of any setoff in the SAC. In sum, none of the arguments raised by Plaintiffs in their opposition are sufficient to cure the defects in Plaintiffs’ claims. Moving defendant is ordered to give notice of this ruling.
10	30-2026-01555500 Hek vs. La Mirada Post Acute LLC	<u>DEMURRER TO COMPLAINT</u> Defendants La Mirada Post Acute LLC, Sun Meridian Management Services LLC, Sun Mar Management Services, Frank D. Johnson and David Johnson’s (collectively, “Defendants”) Demurrer to Plaintiff Humphrey Van Hek’s (“Plaintiff”) Complaint is OVERRULED. IT IS ORDERED THAT Defendants must file and serve their answer to Plaintiff’s Complaint within twenty (20) days of this ruling. As a threshold matter, the court declines to rule on arguments that Defendants raise for the first time in their reply brief as Plaintiff has had no opportunity to respond to them: • Defendants argue that the subject Admission Agreement for the facility cannot be the basis of any claim because the form is mandated by law. (Cal. Health & Safety Code § 1599.61.) • Defendants argue that the facts regarding the staffing at the facility were not concealed from Plaintiff or the class because it was reported to the State. • Defendants argue that there is no allegation that Sun Mar, or the Johnsons acquired any money belonging to Plaintiff and the class so as to justify restitution for the unfair competition claim.

		Furthermore, even if the court were to consider these arguments, they would not change the court’s decision to overrule Defendants’ demurrer. Finally, the court notes that Defendants’ grounds for demurrer identified in their notice are inconsistent with the arguments made in Defendants’ Memorandum of Points & Authorities. Defendants are admonished to comply with the applicable court rules and California Rules of Civil Procedure in all future filings. (Cal. R. Ct., R. 3.1110(a) [“A notice of motion must state in the opening paragraph the nature of the order being sought and the grounds for issuance of the order.”].) I. Entire Complaint First, Defendants demur to the entire complaint on the grounds that Plaintiff fails to allege facts to support a claim of alter ego liability against all Defendants. In the Complaint, Plaintiff alleges that “Defendant LA MIRADA POST ACUTE LLC . . . reports its principal place of business . . . as 3050 Saturn Street, Brea, California, 92821 . . . (hereinafter referred to as the “FACILITY”),” and that it is “in the business of providing long-term custodial care as the licensee of a 24-hour skilled nursing facility doing business as Sunny Hills Post Acute, and were subject to the requirements of federal and state law regarding the operation of skilled nursing facilities operating in the State of California.” (Compl. ¶ 3.) Plaintiff asserts the following alter ego allegations as to the other Defendants: • DEFENDANT FRANK D. JOHNSON and DAVID JOHNSON . . . are the only members and managers of SUN MERIDIAN MANAGEMENT SERVICES LLC and LA MIRADA POST ACUTE LLC and control all actions thereof and ratified all of the conduct alleged herein; and/or performed all the action alleged herein and/or directed all of the action alleged herein. (Compl. ¶ 4.) • DEFENDANT FRANK D. JOHNSON is one of only two members and managers of SUN MAR MANAGEMENT SERVICES and controls all actions thereof and ratified all of the conduct alleged herein; and/or performed all the action alleged herein and/or directed all of the action alleged herein. (<i>Id.</i> ¶ 5.)
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		• Defendants SUN MERIDIAN MANAGEMENT SERVICES LLC . . . SUN MAR MANAGEMENT SERVICES; FRANK D. JOHNSON; DAVID JOHNSON . . . (hereinafter the “MANAGEMENT DEFENDANTS”) . . . were at all relevant times the FACILITY’S owners, operators, parent company, and/or management company of the FACILITY and actively participated and controlled the business of the FACILITY and thus provided long-term professional and custodial care as a 24-hour skilled nursing facility. (<i>Id.</i> ¶ 6.) • The MANAGEMENT DEFENDANTS and the FACILITY are “alter egos” of one another and form a “Single Enterprise” . . . (Compl. ¶ 11.) • The FACILITY and the MANAGEMENT DEFENDANTS operated in such a way as to make their individual identities indistinguishable, and are therefore, the mere alter-egos of one another. There was a unity of interest between the FACILITY and the MANAGEMENT DEFENDANTS such that a failure to recognize the alter ego relationship between them would lead to an inequitable result. (<i>Id.</i> ¶ 13.) • At all relevant times, the FACILITY and the MANAGEMENT DEFENDANTS and each of their tortious acts and omissions, as alleged herein, were done in concert with one another in furtherance of their common design and agreement to accomplish a particular result, namely maximizing profits for DEFENDANTS’ individual directors, officers, and managers from the operation of the FACILITY by underfunding and understaffing the FACILITY. Moreover, the DEFENDANTS aided and abetted each other in accomplishing the acts and omissions alleged herein. (See Restatement (Second) of Torts §876 (1979)). (<i>Id.</i> ¶ 14.) • The MANAGEMENT DEFENDANTS controlled the FACILITY to such a degree that it was a “mere instrumentality” of the MANAGEMENT DEFENDANTS used for an improper purpose. (<i>Id.</i> ¶ 15.) • Evidence for this reality exists in the exchange of directional documents and reports shared amongst the DEFENDANTS as to issues including staffing, census, interaction of the FACILITY with the State of California’s Department of Public Health, and regulatory compliance which were utilized by the MANAGEMENT DEFENDANTS to make operational decisions as the true owners, operators and managers of the FACILITY. (<i>Id.</i> ¶ 16.)
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		• Because the funds that were improperly siphoned to the MANAGEMENT DEFENDANTS for phantom services . . . should have instead gone to pay for labor costs to ensure that the FACILITY was sufficiently staffed to meet the needs of the residents, failing to hold DEFENDANTS liable under an alter ego theory would lead to an inequitable result. (<i>Id.</i> ¶ 18.) • At all times relevant hereto LA MIRADA POST ACUTE LLC; SUN MERIDIAN MANAGEMENT SERVICES LLC; and SUN MAR MANAGEMENT SERVICES had multiple common managers and members according to information they submitted to the California Secretary of State under penalty of perjury. For example, FRANK D. JOHNSON and DAVID JOHNSON are the sole manager/members of both LA MIRADA POST ACUTE LLC and SUN MERIDIAN MANAGEMENT SERVICES LLC. In addition, FRANK D. JOHNSON is a manager and member of SUN MAR MANAGEMENT SERVICES. (<i>Id.</i> ¶ 19.) • At all times relevant hereto LA MIRADA POST ACUTE LLC; SUN MERIDIAN MANAGEMENT SERVICES LLC; SUN MAR MANAGEMENT SERVICES; FRANK D. JOHNSON and DAVID JOHNSON all share the same principal address and same mailing address, namely 3050 Saturn Street #201, Brea, CA 92821. (<i>Id.</i> ¶ 20.) • At all times relevant hereto FRANK D. JOHNSON and DAVID JOHNSON each owned a 50% equity interest in LA MIRADA POST ACUTE LLC according to submissions by the Defendants to the California Department of Public Health under penalty of perjury. Upon information and belief, at all times relevant hereto FRANK D. JOHNSON and DAVID JOHNSON each owned a 50% equity interest in SUN MERIDIAN MANAGEMENT SERVICES LLC. (<i>Id.</i> ¶ 21.) • In doing the wrongful acts and omissions alleged herein, LA MIRADA POST ACUTE LLC; the MANAGEMENT DEFENDANTS and DOES 1-250: (1) commingled funds and other assets; (2) failed to segregate funds of the separate entities, and the unauthorized diversion of corporate funds or assets to other than corporate uses; (3) treated the assets of each corporation as their own; (4) held out that they are individually liable for the debts of each corporation; (5) failed to maintain minutes or adequate corporate records; (6) had sole ownership of all of the stock in a corporation by one individual or the members of a family; (7) failed to adequately capitalize
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		the corporations; (8) used the corporations as a mere shell, instrumentality or conduit for a single venture or the business of an individual or another corporation; (9) disregarded legal formalities and the failure to maintain arm's length relationships among related entities; (10) diverted of assets from a corporation by or to a stockholder or other person or entity, to the detriment of creditors, or the manipulation of assets and liabilities between entities so as to concentrate the assets in one and the liabilities in another; (11) the contracting with another with intent to avoid performance by use of a corporate entity as a shield against personal liability, or the use of each corporation as a subterfuge of illegal transactions. And thus LA MIRADA POST ACUTE LLC; SUN MERIDIAN MANAGEMENT SERVICES LLC; SUN MAR MANAGEMENT SERVICES; FRANK D. JOHNSON and DAVID JOHNSON; and DOES 1-250 acted as alter egos of one another. (<i>Id.</i> ¶ 22.) • In doing the wrongful acts and omissions alleged herein, LA MIRADA POST ACUTE LLC; SUN MERIDIAN MANAGEMENT SERVICES LLC; SUN MAR MANAGEMENT SERVICES; FRANK D. JOHNSON and DAVID JOHNSON; and DOES 1-250: (1) participated in a common venture or in a similar or functionally reciprocal business (e.g., one corporation builds houses upon land owned by the other); (2) had identical equitable ownership; (3) had common directors, officers and employees; (4) had the same business location, telephone numbers and e-mail systems; (5) pooling of assets and revenues, or use of one corporation's financial resources to pay or guaranty the other's obligations (especially if the other corporation is undercapitalized); and (6) the corporations tend to benefit jointly from transactions entered into by one of them. And thus, LA MIRADA POST ACUTE LLC; SUN MERIDIAN MANAGEMENT SERVICES LLC; SUN MAR MANAGEMENT SERVICES; FRANK D. JOHNSON and DAVID JOHNSON and DOES 1-250 acted as a joint enterprise with one another. (<i>Id.</i> ¶ 23.) “Normally the corporation is an insulator from liability on claims of creditors.” (<i>Greenspan v. LADT, LLC</i> (2010) 191 Cal. App. 4th 486, 510.) “The alter ego doctrine arises when a plaintiff comes into court claiming that an opposing party is using the corporate form unjustly and in derogation of the plaintiff's interests[.]” (<i>Id.</i>) The alter ego doctrine has two requirements:
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		“(1) that there be such unity of interest and ownership that the separate personalities of the corporation and the individual no longer exist and (2) that, if the acts are treated as those of the corporation alone, an inequitable result will follow.” (<i>Id.</i> at 511.) “The essence of the alter ego doctrine is that justice be done,” and “[l]iability is imposed to reach an equitable result.” (<i>Id.</i>) “[T]he corporate form will be disregarded only in narrowly defined circumstances and only when the ends of justice so require.” (<i>Id.</i>) “[I]t would be unjust to permit those who control companies to treat them as a single or unitary enterprise and then assert their corporate separateness in order to commit frauds and other misdeeds with impunity.” (<i>Id.</i> at 512.) The alter ego doctrine should apply when the court has “determined that though there are two or more personalities, there is but one enterprise; and that this enterprise has been so handled that it should respond, as a whole, for the debts of certain component elements of it.” (<i>Id.</i>) Whether the alter ego doctrine should apply is “primarily a question of fact.” (<i>Id.</i>) Courts have explained that the alter ego determination is based on a variety of factors: “The alter ego test encompasses a host of factors: ‘[1] [c]ommingling of funds and other assets, failure to segregate funds of the separate entities, and the unauthorized diversion of corporate funds or assets to other than corporate uses ...; [2] the treatment by an individual of the assets of the corporation as his own ...; [3] the failure to obtain authority to issue stock or to subscribe to or issue the same ...; [4] the holding out by an individual that he is personally liable for the debts of the corporation ...; the failure to maintain minutes or adequate corporate records, and the confusion of the records of the separate entities ...; [5] the identical equitable ownership in the two entities; the identification of the equitable owners thereof with the domination and control of the two entities; identification of the directors and officers of the two entities in the responsible supervision and management; sole ownership of all of the stock in a corporation by one individual or the members of a family ...; [6] the use of the same office or business location; the employment of the same employees and/or attorney ...; [7] the failure to adequately capitalize a corporation; the total absence of corporate assets, and undercapitalization ...; [8] the use of a corporation as a mere shell, instrumentality or conduit for a single venture or the business of an individual or another corporation ...; [9] the concealment and misrepresentation of the identity of the responsible ownership, management and financial interest, or
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		concealment of personal business activities ...; [10] the disregard of legal formalities and the failure to maintain arm's length relationships among related entities ...; [11] the use of the corporate entity to procure labor, services or merchandise for another person or entity ...; [12] the diversion of assets from a corporation by or to a stockholder or other person or entity, to the detriment of creditors, or the manipulation of assets and liabilities between entities so as to concentrate the assets in one and the liabilities in another ...; [13] the contracting with another with intent to avoid performance by use of a corporate entity as a shield against personal liability, or the use of a corporation as a subterfuge of illegal transactions ...; [14] and the formation and use of a corporation to transfer to it the existing liability of another person or entity.” (<i>Id.</i> at 512-513.) “This long list of factors is not exhaustive.” (<i>Id.</i> at 513.) Further, “[n]o single factor is determinative, and instead a court must examine all the circumstances to determine whether to apply the doctrine[.]” (<i>Id.</i>) The court finds that the above allegations are <i>more</i> than sufficient to state a claim for alter ego liability. The Complaint states facts suggesting a unity of interest among the Defendants and states facts showing that an inequitable result will follow if the alter ego doctrine is not applied based on the allegation that funds were allegedly improperly siphoned from the facility to the management defendants. To the extent that Defendants argue that their business relationships consist of only lawful conduct and that there is no unity of interest among Defendants, that is a dispute of fact that should not be decided at the pleading stage. Further, as Plaintiff points out, alter ego liability is not required to establish each Defendant’s liability under the Consumer Legal Remedies Act (“CLRA”), or the derivative Unfair Competition Law (“UCL”) based on violation of the CLRA. Thus, Plaintiff does not need to adequately plead alter ego liability to maintain those claims against Defendants. Defendants also object to the entire Complaint on the grounds of uncertainty because Plaintiff alleges facts as to Defendants as a group, rather than identifying each Defendant individually for each allegation and specifying each Defendant’s involvement in the alleged misconduct. The court finds that Plaintiff has adequately pled his claims as to all Defendants, collectively and as alter egos of each other. To the extent each Defendant
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		challenges the merits of the allegations and each of their roles and liability, those are issues of fact which can be further clarified through discovery. “A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures,” especially as to facts “presumptively within [the other party’s] knowledge.” (<i>Khoury v. Maly's of California, Inc.</i> (1993) 14 Cal. App. 4th 612, 616.) Based on the foregoing, the court OVERRULES Defendants’ demurrer as to the entire complaint. II. First Cause of Action (Violation of Resident Rights pursuant to Health & Safety Code § 1430(b)) Defendants demur to the First Cause of Action for Violation of Resident Rights on the grounds that only one entity—La Mirada Post Acute LLC—bears liability under Health and Safety Code section 1430(B) because it is the only licensee among the named defendants. “[A] licensee who commits a class ‘A’ or ‘B’ violation may be enjoined from permitting the violation to continue or may be sued for civil damages within a court of competent jurisdiction.” (Cal. Health & Safety Code § 1430(a).) “A current or former resident or patient, or the legal representative, personal representative, or successor in interest of a current or former resident or patient, of a skilled nursing facility . . . may bring a civil action against the licensee of a facility who violates any rights of the resident or patient as set forth in Section 72527 or 73523 of Title 22 of the California Code of Regulations, or any other right provided for by federal or state law or regulation.” (Cal. Health & Safety Code § 1430(b)(1).) “The licensee shall be liable for the acts of the licensee’s employees.” (<i>Id.</i>) “Licensee” means the holder of a license . . . for a long-term health care facility.” (Cal. Health & Safety Code § 1418(d).) However, “[a]lter ego is an equitable doctrine that also extends a corporation’s liability on a cause of action to another corporation or individual when the doctrine’s requirements are met.” (<i>Brown Bark III, L.P. v. Haver</i> (2013) 219 Cal. App. 4th 809, 823.) As the court finds that Plaintiff has adequately alleged grounds for applying the alter ego doctrine, Plaintiff has also adequately alleged this cause of action as to all defendants, including the non-licensee management defendants.
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		The court OVERRULES Defendants’ demurrer as to the First Cause of Action. III. Second Cause of Action (Violation of the CLRA) Defendants demur to the Second Cause of Action for violation of the CLRA on the grounds that the claim is not pled with reasonable particularity. “The unfair methods of competition and unfair or deceptive acts or practices listed in this subdivision undertaken by any person in a transaction intended to result or that results in the sale or lease of goods or services to any consumer are unlawful: . . . Representing that goods or services have sponsorship, approval, characteristics, ingredients, uses, benefits, or quantities that they do not have or that a person has a sponsorship, approval, status, affiliation, or connection that the person does not have. . . Representing that goods or services are of a particular standard, quality, or grade, or that goods are of a particular style or model, if they are of another . . . Advertising goods or services with intent not to sell them as advertised. . . . Representing that a transaction confers or involves rights, remedies, or obligations that it does not have or involve, or that are prohibited by law.” (Cal. Civ. Code § 1770(a).) “Any consumer who suffers any damage as a result of the use or employment by any person of a method, act, or practice declared to be unlawful by Section 1770 may bring an action against that person to . . .” (Cal. Civ. Code § 1780.) “A plaintiff alleging [a statutory violation] . . . must state with reasonable particularity the facts supporting the statutory elements of the violation.” (<i>Khoury v. Maly's of California, Inc.</i> (1993) 14 Cal. App. 4th 612, 619.) A demurrer is properly sustained when the “complaint identifies no particular section of the statutory scheme which was violated and fails to describe with any reasonable particularity the facts supporting violation.” (<i>Id.</i>) “[C]auses of action under the CLRA and UCL must be stated with reasonable particularity, which is a more lenient pleading standard than is applied to common law fraud claims,” which requires “fraud to be pled specifically, which necessitates pleading facts which show how, when, where, to whom and by what means the representations were tendered.” (<i>Gutierrez v. Carmax Auto Superstores California</i> (2018) 19 Cal. App. 5th 1234, 1261.)
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	In the Second Cause of Action, Plaintiff alleges that “the contractual Admission Agreement arrangement with each resident . . . explicitly stated by the DEFENDANTS to include the obligation, and representation as to the standard of care to be provided, that the FACILITY would ensure the rights afforded to all residents of skilled nursing facilities under Health & Safety Code §1599.1(a) and 22 C.C.R. §72527(a)(25), most specifically the right to live in a FACILITY that employs ‘an adequate number of qualified personnel to carry out all of the functions of the facility’ as mandated by Title 22 of the California Code of Regulations §72329.1(a) as to ‘Direct Caregivers.’” (Compl. ¶ 59.) Plaintiff also alleged in the Complaint that “DEFENDANTS actively and intentionally concealed from Plaintiff and class members that DEFENDANTS chronically understaffed the FACILITY.” (<i>Id.</i> ¶ 31.) Plaintiff alleges that the representations by Defendants “were false and known to be false when made,” and that “[t]hese representations by DEFENDANTS were intended to induce and lure elderly and infirm residents (and their representatives) into agreeing to be admitted to the FACILITY based on false and misleading representations.” (<i>Id.</i> ¶¶ 60, 62.) Plaintiff contends that these misrepresentations violated Civil Code § 1770(a)(5), (7), (9), and (14). (Compl. ¶ 64.) Plaintiff alleges that he and others similarly situated “suffered economic loss in the form of unearned payments to the DEFENDANTS” for substandard care. (<i>Id.</i> ¶ 69.) Plaintiff also alleges that Defendants made misrepresentations as to compliance with the law, as the facility’s timekeeping records for nurses failed to take into account rest breaks (Compl. ¶ 46), and Plaintiffs allege that “DEFENDANTS artificially and fraudulently inflate the reported nursing staff ratios by unlawfully and fraudulently including the hours of employees not providing direct nursing care, including but not limited to administrative, supervisory, and/or maintenance employees who do not provide direct patient care.” (Compl. ¶ 43.) Plaintiff identifies the specific practices that violated the CLRA, identifies which statutes applied to the alleged misconduct, alleges that the misrepresentations induced Plaintiff and others similarly situated to become residents of the facility and make payments to Defendants, and alleges that he and others similarly situated suffered economic loss. (Compl. ¶¶ 59-69.) Accordingly, the court finds that the Complaint states the Second Cause of Action with reasonable particularity. Defendants also contend that Plaintiff has not pled adequate facts showing Defendants’ systematic failure to meet the objective
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		hours of NHPPD and the Title 22 regulatory shift ratios. However, this is a factual dispute that should not be decided at the demurrer stage. Based on the foregoing, the court OVERRULES the demurrer as to the Second Cause of Action. IV. Third Cause of Action (UCL) Defendants demur to the derivative Third Cause of Action (UCL) on the grounds that the underlying Health & Safety Code and CLRA claims fail. However, as the court overruled the demurrer as to these two causes of action, the court also OVERRULES the demurrer to the derivative Third Cause of Action. Alternatively, Defendants argue that the UCL claim does not adequately plead a restitution theory, because a UCL claim for restitution allegedly cannot be made when individualized proof is required for each class member. However, Defendants provide no authority to support this argument. Lost money or property, i.e. economic injury, to establish standing for a UCL claim, is established when Plaintiff or class members “(1) surrender in a transaction more, or acquire in a transaction less, than he or she otherwise would have; (2) have a present or future property interest diminished; (3) be deprived of money or property to which he or she has a cognizable claim; or (4) be required to enter into a transaction, costing money or property, that would otherwise have been unnecessary.” (<i>Kwikset Corp. v. Superior Ct.</i> (2011) 51 Cal. 4th 310, 323.) As stated above, Plaintiff has alleged that he and others similarly situated paid more than they should have to be residents at the facility based on misrepresentations about the quality of care and staffing that would be provided at the facility. Accordingly, Plaintiff has alleged sufficient injury to plead restitution, which only requires that the court be able “to restore to any person in interest any money or property, real or personal, which may have been acquired by means of [] unfair competition.” (Cal. Bus. & Prof. Code § 17203.) To the extent Defendants dispute Plaintiff and class members’ ownership interest in the money paid to Defendants, that is a dispute of fact that should not be decided at the pleading stage. The court OVERRULES the demurrer to the Third Cause of Action as to this alternative ground.
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		V. Class Allegations Defendants also demur to Plaintiff’s class allegations on the ground that the harm suffered by each of the 3,000 class members would require individualized proof. Plaintiff argues that if the facility as a whole is understaffed, every resident’s rights have been violated as a matter of law, and no individualized proof is required. “The decision whether a case is suitable to proceed as a class action ordinarily is made on a motion for class certification.” (<i>Bridgeford v. Pac. Health Corp.</i> (2012) 202 Cal. App. 4th 1034, 1041.) “A court may decide the question earlier by sustaining a demurrer to the class action allegations of a complaint only if it concludes as a matter of law that, assuming the truth of the factual allegations in the complaint, there is no reasonable possibility that the requirements for class certification will be satisfied.” (<i>Id.</i> at 1041-1042.) The court finds that deciding the propriety of class allegations at the pleading stage is not warranted. It is premature for the court to decide whether Plaintiff can demonstrate commonality, typicality, manageability and other class suitability factors to support class treatment. Defendant have not shown that there is no reasonable possibility that the requirements can be satisfied. Thus, the court OVERRULES the demurrer as to Plaintiff’s class allegations. VI. Frank Johnson and David Johnson Defendants argue that the Complaint fails to state facts to support individual liability for Frank Johnson and David Johnson. However, as discussed above as to the alter ego allegations, Plaintiff has adequately alleged the roles of these individuals and alleged facts against them that connect them to the misrepresentations and facility management issues underlying the claims in this action. Whether Plaintiff’s allegations are true is a factual dispute not to be decided at the demurrer stage. Thus, the court OVERRULES the demurrer as to this ground. VII. Injunctive Relief Defendants ask for the court to abstain from granting injunctive relief on the grounds that it would require interference with a complex economic policy best handled by the legislature or an administrative agency. The court declines to reach this issue as it
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		was not properly included in the Notice of the Demurrer and as it is not the proper subject of a demurrer. <u>MOTION TO STRIKE</u> Defendants’ Motion to Strike Portions of Plaintiff’s Complaint is GRANTED IN PART and DENIED IN PART. I. Punitive Damages Defendants ask that the court strike allegations related to Plaintiff’s claim for punitive damages (Compl. ¶ 70, and Prayer for Relief ¶ 6) on the grounds that there are insufficient facts to demonstrate malice, oppression or fraud. A plaintiff may seek punitive damages only “where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice.” (Cal. Civ. Code § 3294(a).) “Malice” means “conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.” (Cal. Civ. Code § 3294(c)(1).) “Oppression” means “despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person’s rights.” (Cal. Civ. Code § 3294(c)(2).) “Fraud” means “an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.” (Cal. Civ. Code § 3294(c)(1).) “Despicable conduct” is conduct that is “so vile, base, contemptible, miserable, wretched or loathsome that it would be looked down upon and despised by ordinary decent people.” (<i>Lackner v. North</i> (2006) 135 Cal. App. 4th 1188, 1210.) “In order to survive a motion to strike an allegation of punitive damages, the ultimate facts showing an entitlement to such relief must be pled by a plaintiff.” (<i>Clauson v. Superior Court</i> (1998) 67 Cal. App. 4th 1253, 1255 [internal citations omitted].) “In passing on the correctness of a ruling on a motion to strike, judges read allegations of a pleading subject to a motion to strike as a whole, all parts in their context, and assume their truth.” (<i>Id.</i>) Plaintiff alleges the following in the Complaint: • Before, during, and after the admissions processes of Plaintiff and each class member, the DEFENDANTS
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		actively and intentionally concealed from Plaintiff and class members that at all times relevant hereto the FACILITY did not employ “an adequate number of “Direct Caregivers,” as the term “Direct Caregivers” is defined 22 Code of Regulations §72038, to carry out all of the functions of the facility” in violation of Health & Safety Code §1599.1(a) (as expressly incorporated by Title 22 C.C.R. §72527(a)(25)) as mandated by Title 22 of the California Code of Regulations §72329.1(a). (Compl. ¶ 29.) • Plaintiff alleges that these misrepresentations “were intended to deceive Plaintiff and members of the class into believing that the FACILITY were properly operated to induce Plaintiff and class members into becoming and/or remaining residents of the FACILITY. Plaintiff and members of the class, all in infirm health, elderly, and/or in need of skilled nursing care and members of one of the most vulnerable segments of our society, were unsophisticated and unknowledgeable in the operation of skilled nursing facility in the State of California and had no knowledge of the facts concealed by DEFENDANTS and could not have discovered those concealed facts due to, among other things, their extremely vulnerable status.” (Compl. ¶ 30.) • These representations by DEFENDANTS were intended to induce and lure elderly and infirm residents (and their representatives) into agreeing to be admitted to the FACILITY based on false and misleading representations without disclosing that DEFENDANTS cannot and do not provide the represented level and quality of care to residents. Before, during, and after the admissions processes of Plaintiff and each class member, the DEFENDANTS actively and intentionally concealed from Plaintiff and class members, and/or each’s legal representative, that DEFENDANTS have a long history of being serial violators of skilled nursing industry laws. (Compl. ¶ 60.) • Before, during, and after the admissions processes of Plaintiff and each class member, the DEFENDANTS actively and intentionally concealed from Plaintiff and class members that DEFENDANTS chronically understaffed the FACILITY with an inadequate number of “Direct Caregivers” to carry out the function of the FACILITY as more fully alleged herein, and in so doing and as a result thereof, the DEFENDANTS have violated the rights afforded to all residents of skilled nursing
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		facilities under Health & Safety Code §1599.1(a) and 22 Code of Regulations §72527(a)(25) as mandated by Title 22 of the California Code of Regulations §72329.1(a). (Compl. ¶ 31.) • Plaintiff also alleges that “DEFENDANTS artificially and fraudulently inflate the reported nursing staff ratios by unlawfully and fraudulently including the hours of employees not providing direct nursing care, including but not limited to administrative, supervisory, and/or maintenance employees who do not provide direct patient care.” (Compl. ¶ 43.) • Plaintiff alleges fraudulent reporting by Defendants because “DEFENDANTS’ own time-keeping records which do not take into account rest breaks required by Labor Code §226.7 and 8 California Code of Regulations §§ 11010-11150, ¶ 12 and §11160, ¶ 11.” (Compl. ¶ 45.) • Plaintiff alleges that Defendants acted to “maximiz[e] profits for DEFENDANTS’ individual directors, officers, and managers from the operation of the FACILITY by underfunding and understaffing the FACILITY despite the mandates of law in violation of PLAINTIFF’S and the class’s resident’s rights.” (Compl. ¶ 53.) The court finds that these allegations are sufficient to state a claim for punitive damages, and any dispute as to whether Defendants’ conduct amounts to oppression, fraud or malice is for the trier of fact and should not be decided at the pleading stage. Thus, the court DENIES the Motion to Strike as to the punitive damages allegations in ¶ 70 of the Complaint, and Prayer for Relief ¶ 6. II. Health & Safety Code § 1430(b) Limits Damages to \$500 Per Lawsuit Defendants argue that Health & Safety Code § 1430(b) limits damages to \$500 per violation, but does not permit recovery of any penalties. Accordingly, Defendants argue that the Prayer seeking relief for “statutory damages and penalties pursuant to Health & Safety Code § 1430(b)” is improper and must be stricken from the Complaint. (Prayer for Relief ¶ 9 [emphasis added].) Plaintiff fails to address this in opposition or provide any basis for penalties under Health & Safety Code § 1430(b). Thus, the court GRANTS the Motion to Strike as to the phrase “and penalties” from Prayer for Relief ¶ 9.
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	Defendants also argue that these statutory damages can only be obtained against the licensee of the facility. However, as the Complaint only states a prayer “For statutory damages and penalties pursuant to Health & Safety Code §1430(b),” generally, the court cannot strike this Prayer for Relief as it is undisputed that Plaintiff is able to obtain such statutory damages against at least Defendant La Mirada Post Acute LLC, the licensee of the facility. The court DENIES the Motion to Strike as to the entirety of Prayer for Relief ¶ 9. III. Treble Damages Defendants seek to strike Prayer for Relief ¶ 8 which asks for treble damages, arguing that the request is not tied to any predicate allegation or cause of action. In cases involving unfair or deceptive practices against senior citizens, disabled persons, or veterans, a trier of fact may award treble damages when “the purpose or effect of which is to punish or deter, and the amount of the fine, penalty, or other remedy is subject to the trier of fact's discretion[.]” (Cal. Civ. Code § 3345(b).) The treble damages may be based on: (1) Whether the defendant knew or should have known that their conduct was directed to one or more senior citizens, disabled persons, or veterans. (2) Whether the defendant's conduct caused one or more senior citizens, disabled persons, or veterans to suffer: loss or encumbrance of a primary residence, principal employment, or source of income; substantial loss of property set aside for retirement, or for personal or family care and maintenance; or substantial loss of payments received under a pension or retirement plan or a government benefits program, or assets essential to the health or welfare of the senior citizen, disabled person, or veteran. (3) Whether one or more senior citizens, disabled persons, or veterans are substantially more vulnerable than other members of the public to the defendant's conduct because of age, poor health or infirmity, impaired understanding, restricted mobility, or disability, and actually suffered substantial physical, emotional, or economic damage resulting from the defendant's conduct. (Cal. Civ. Code § 3345(b)(1)-(3).) Defendants argue that neither the statutory damages under Cal. Health & Safety Code § 1430(b) or restitution under the UCL is intended to punish defendants, and thus cannot be subject to treble damages.
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Plaintiff does not dispute this, but argues that treble damages are available under the CLRA and the derivative UCL claim based on violations of the CLRA. (Cal. Civ. Code § 1780 [permitting recovery of punitive damages, and any other relief that the court deems proper, with an additional award for a consumer who is a senior citizen or a disabled person].) As there is a basis under the CLRA for punitive damages that may be subject to trebling, the court DENIES the Motion to Strike as to Prayer for Relief ¶ 8.

IV. Punitive Damages Under Code § 1780

Defendants argue that Paragraphs 4 through 7 for the Prayer for Relief is only available under Civil Code § 1780, and asks that it be stricken to the extent Plaintiff seeks the damages under the Health & Safety Code § 1430(b) or the UCL. However, Plaintiff already made it clear the Prayers for Relief is only as to the claim under Civil Code § 1780:

4. For actual damages in a total amount to exceed one thousand dollars pursuant to Civil Code §1780(a)(1);
5. For restitution of Plaintiff and class member property pursuant to Civil Code §1780(a)(3);
6. For punitive damages pursuant to Civil Code § 1780(a)(4) and as otherwise allowed by law;
7. For civil penalties for “senior citizens” and “disabled persons” in the amount of \$5,000 for each Plaintiff and class member pursuant to Civil Code §1780(b);

Thus, the court DENIES the Motion to Strike as to Prayers for Relief, Paragraphs 4 through 7.

V. Injunctive Relief

Defendants seek an order striking the request for injunctive relief on the grounds that it is vague, overbroad, and that court supervision is inappropriate. Defendants ask that the court judicially abstain from granting an injunction.

The court finds that it is premature for the court to decide the propriety of the scope of the injunction requested in the Complaint, and that the issue is better decided after the pleadings have settled and the parties can address the merits of Plaintiff’s claims. Although the court recognizes that plaintiff’s requested injunction is potentially too broad and sweeping for the court to issue, the court DENIES Defendants’ Motion to Strike as to the Prayer for Relief ¶ 2, WITHOUT PREJUDICE to the court’s

		ability to review the propriety of the injunctive relief requested by Plaintiff after the pleading stage. Defendants are ordered to give notice of this ruling to Plaintiff.
11	30-2026-01549189 Anguiano vs. State Farm General Insurance Company	DENIED AS MOOT